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Exploring Business Studies 7



Exploring Business Studies

7

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Preface

This book intends to assist in the teaching and learning of Business Studies in the Maldivian Schools based on the Business Studies Syllabus developed in line with the New National Curriculum of the Maldives and rolled out in the year 2015. The Business Studies Syllabus in the National Curriculum is designed to foster an understanding of the underlying business concepts, the general strategies of problem solving and aesthetics of businesses as an important and powerful tool in everyday life. This books aims to deliver the contents of the Business Studies Syllabus through six main subject areas or strands. While the learning process of this subject involves more than the understanding of basic concepts, it also involves constructing meaning or knowledge based on experiences and understanding the application of business concepts in students' daily life. Although, this book intends to cover the basics; a deeper understanding of the subject can only be achieved through active participation and interaction with businesses through activities such as field visits.

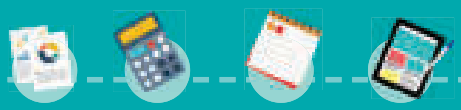
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1 Business Fundamentals

1.1 Basic Economic Concept

Economics is the study of resources, its utilisation and how decisions are made by individuals and organisations in an effort to satisfy unlimited wants with limited resources. Whether we are aware or unaware of it, we understand scarcity. We know that our needs and wants are unlimited and there is less to fulfill all desired needs and wants. A want is created through the desire of a need. When one need of an individual is fulfilled the desire for another need arises creating a want for it.

You will learn

- Needs and wants
- Resources
- Opportunity cost
- Consumption
- Markets
- Demand and supply

Needs are basic requirements or necessities of life. Something you must have for survival, without it you would not be able to live. Needs must be satisfied before wants. Example: food, water, clothing and shelter.

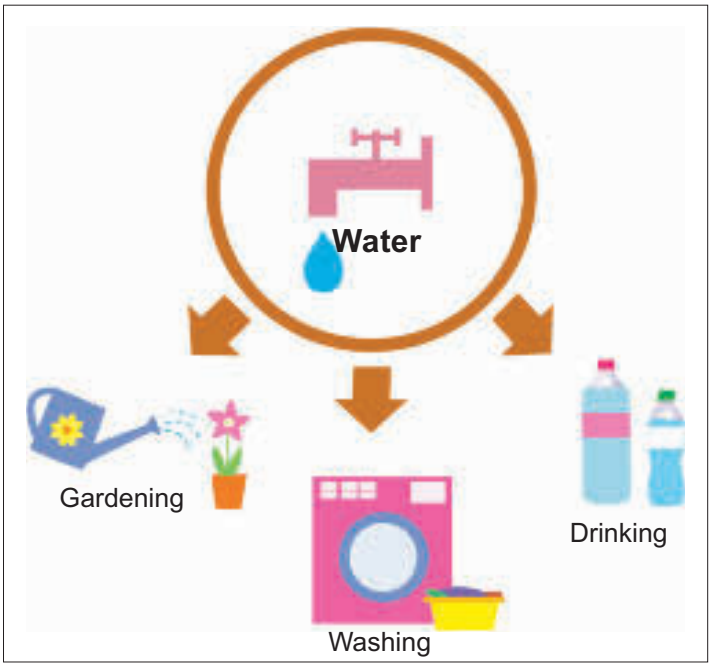


Figure 1.1.1: *Needs*

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Wants are things that you would like to have, but these are not necessary for survival, and you could live without them. Wants are desires that can be satisfied by consuming or using a good or service. Human wants are unlimited. Example: toys, electronics, leisure and gadgets.

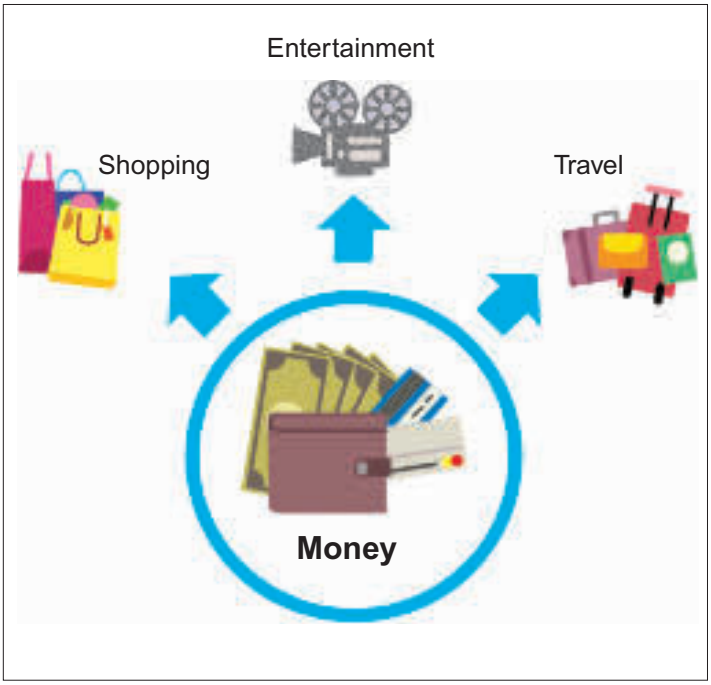


Figure 1.1.2: *Wants*

Activity 1.1

List down your five most desired needs and wants in your priority order where the most desired is the first. Discuss with classmates about any differences in identified needs and wants and their priorities.

Activity 1.2

From the given items below identify which one is a need or a want. Justify your classification.

- Ice cream
- Water
- Lunch
- House
- Toys
- Clothes

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Resources are the inputs that are required to create outputs which are products and services. The goods and services available for the production of valuable consumer products are also referred to as **economic resources**. These comprise human beings and other things used for production of goods and services. The resources are limited and can be consumed directly or indirectly. Resources such as fruits can be used as food and consumed directly while other resources such as minerals can be consumed after processing and by turning into goods. The problem of resource scarcity is a common issue to all the economies around the world. There are three types of resources. They are natural resources, human resources and manufactured resources.

Natural Resources are materials provided by the earth or nature which can be used. Natural resources are used as **raw materials** for the production of goods and services. They can be in any form of solid, liquid or gas. Examples of natural resources are water, land, soil, rock, forests, animal, fossil fuels and minerals. These resources cannot be produced by people. Instead, natural resources are modified by people in order to create things that are beneficial or are of an economic value. Natural resources are limited in supply and are interconnected. If one is removed or extracted heavily it will have an impact on the other. For example, if a lake dries off it will affect the vegetation, soil quality and the animals living in that area.

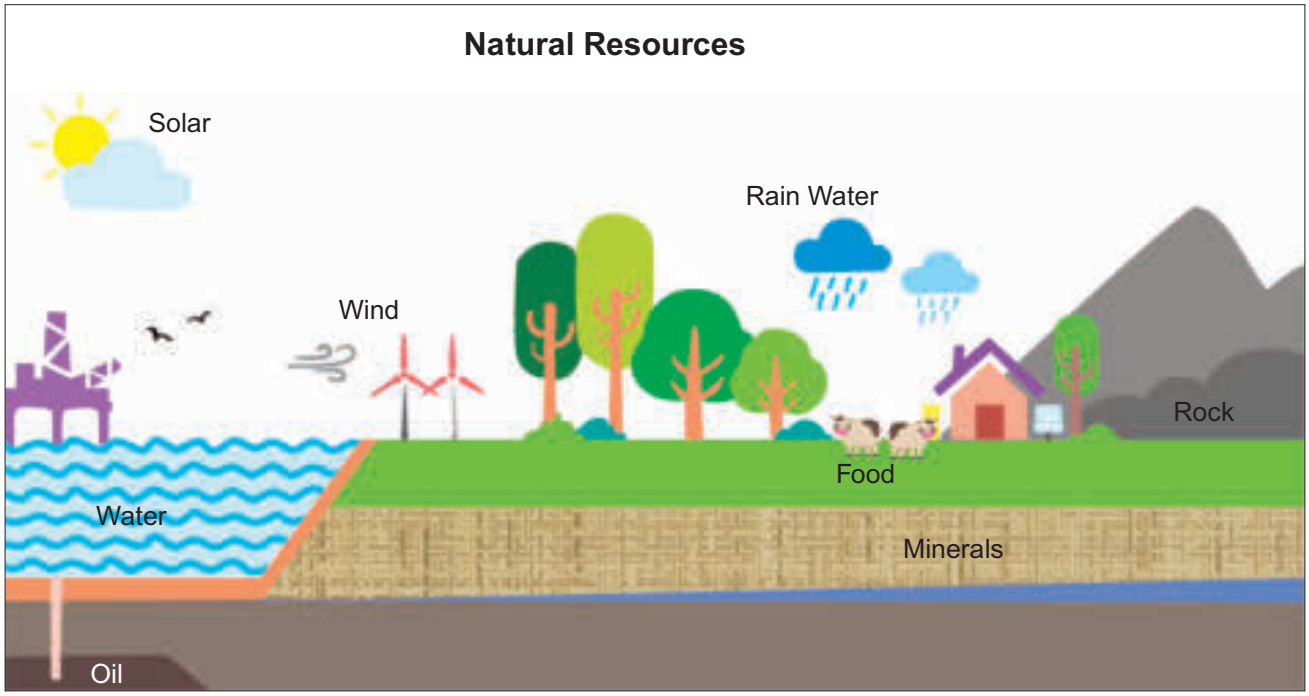


Figure 1.1.3: *Examples of natural resources*

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Natural resources can be classified into two main categories of non-renewable and renewable resources. **Renewable resources** are resources those which can be replaced in a reasonable time or those which are available consistently such as trees and water.

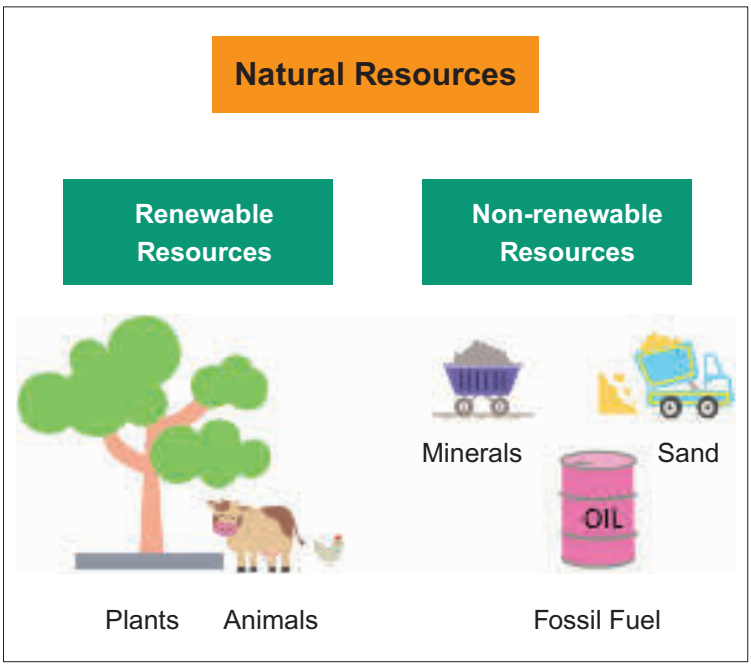


Figure 1.1.4: *Natural resources*

Although, a resource can be classified as renewable it can also turn into a non-renewable resource if the replacement of the resource takes years to renew. **Non-renewable resources** are those which take a long period of time to get replaced or cannot be replaced once used. For example, regardless of the mineral formation through a natural process of rock cycle, minerals can be classified as a non-renewable resource due to the extended period taken for the minerals to be replaced through the rock cycle.

Activity 1.3

trees	fisherman	photocopy machine		river
washing machine	barber	river	gold	nurse
oil	computers	manager	mineral	

a) From the above list identify natural resources, human resources and manufactured resources.

b) From the above list identify non-renewable resources justifying your answer.

Choice is the selection between two or more commodities. Choices are made on a daily basis by all consumers, firms and governments. We are forced to make choices because our resources are limited and wants are unlimited. When we make a choice, we select the commodity that gives us the maximum satisfaction. Due to limitation of resources and

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increased wants we have to sacrifice some goods or services in order to gain what we want the most resulting in opportunity cost.

Opportunity cost is not how much money we spend on goods, but the other goods and services we could have bought with the money. Opportunity cost also includes other relevant costs like the value of time spend and the value of the opportunities we forgo.

DID YOU KNOW

Opportunity cost is the hidden cost of any and every economic decision.

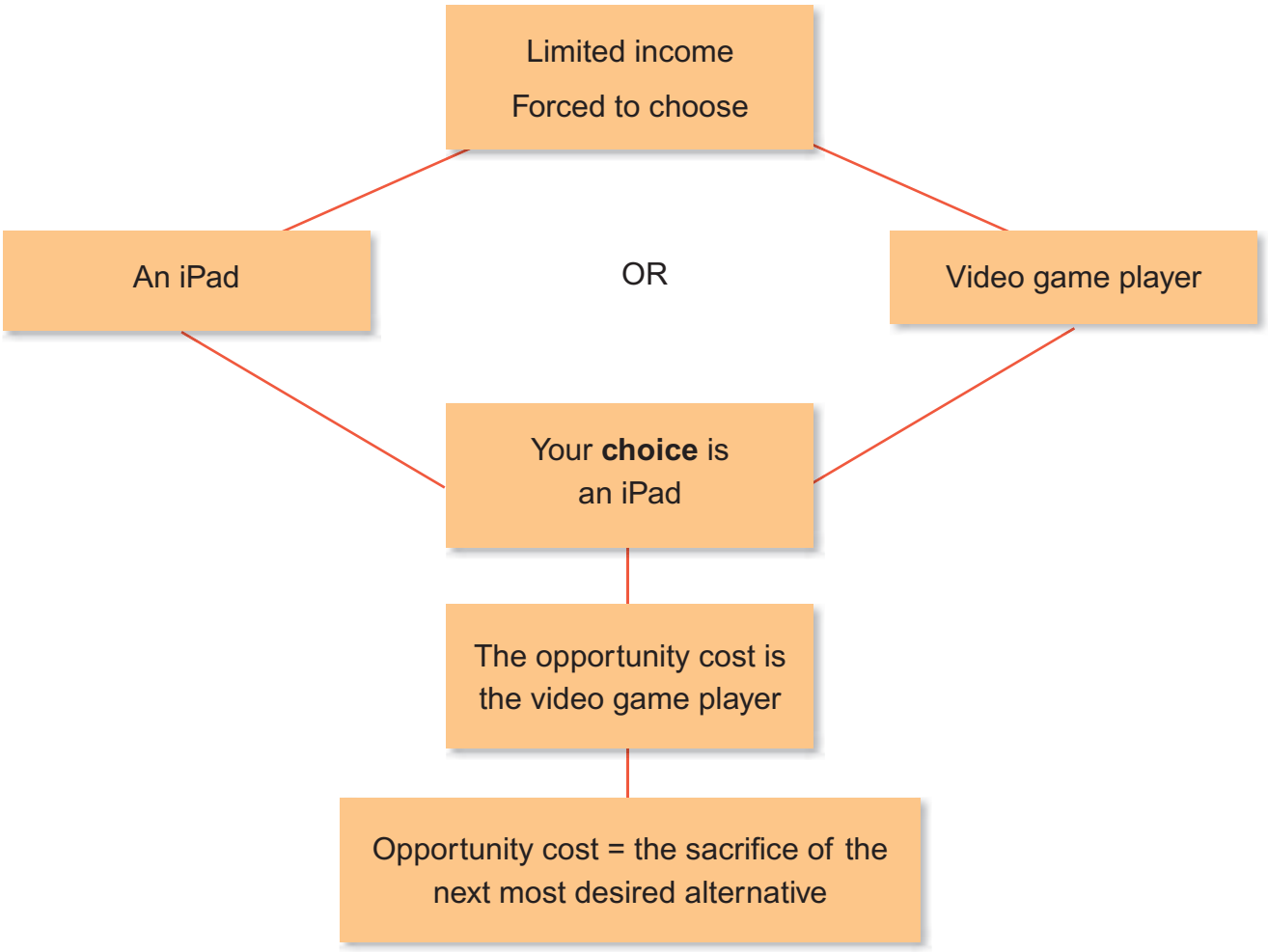


Figure 1.1.5: *Example of opportunity cost*

Activity 1.4

a) Write down a choice made. Identify the 'opportunity cost' of making that choice.

b) Explain the reason for making the choice.

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Consumption is the use of goods and services to satisfy human wants. It can either be direct consumption or indirect consumption. As the words suggest, direct consumption refers to the direct use of goods or services by an individual. For example, food to eat and clothes to wear. Indirect consumption is when an individual benefits from the consumption of goods and services which are not specifically intended for a single consumer but a number of people. For example, the use of airports and public transport systems by individuals.

Activity 1.5

Identify direct consumption and indirect consumption from the list given.

a) Eating a meal at a restaurant
b) Going to see my friend in Addu City by air
c) Enjoying a joyful ride using a Jet Ski
d) Wearing new clothes for Eid festival
e) Brushing teeth using variety of toothpastes
f) Squeezing lime on the rice for lunch
g) Getting tuition sessions from teacher
h) Washing hands with hand soap
i) Father consulting a Physician
j) Drinking fresh juice

A **market** is any place where the sellers of a particular goods or services can meet with the buyers of that goods and services and where there is a potential for a transaction to take place. A transaction can happen when there is an exchange of goods or services offered to a medium of exchange acceptable for the seller by the buyer. Goods are physical and tangible things that you buy. A service is something someone does for you. The buyers must have something they can offer in exchange for there to be a potential transaction. Examples of markets: goods markets, service markets, virtual markets.



Fish market



Local market

Figure 1.1.6: *Different examples of market*

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Activity 1.6

From the following, identify and list down markets and non-markets, with explanation for your reasons.

a) Your friends home

b) A coffee shop

c) A public school

d) A supermarket

e) Your birthday party venue

f) Your friends class

g) Local shop

Activity 1.7

From the given pictures, identify a good or service.









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Demand refers to how much (quantity) of a product or service is desired by buyers. The quantity demanded is the amount of a product people are willing to buy at a certain price; the relationship between price and quantity demanded is known as the demand relationship. A demand exists when there is a need for the offered product or service by an individual or a group of people. The demand and supply are interrelated such that if the supply is not met to the demand the prices of products and services tend to increase due to the shortage in supply. Figure 1.1.7 shows that when price decreases from P2 to P1 quantity demanded increases from Q1 to Q2.

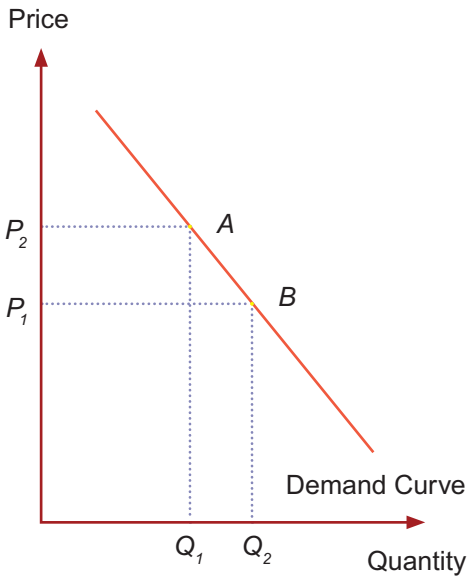


Figure 1.1.7: *Typical demand curve*

For example, when there are limited shows and seats for an anticipated box office hit movie, a demand is created by the expecting viewers to purchase the tickets for the show. If the cinema does not allow for more shows of the movie there will be a high demand resulting in higher ticket prices for the movie.

DID YOU KNOW

The partial equilibrium supply and demand economic model [was] originally developed by Antoine Augustin Cournot (published in a book in 1838) and thirty years later broadly publicised by Alfred Marshall.

Supply represents how much the market can offer for a product or service at a given price for a given period of time. The quantity supplied refers to the amount of certain goods and services which producers are willing to supply for a price. The supply is directly related to the price.

For example, when there is a great demand for PlayStation with people willing to buy at higher prices, setting the prices too low will create a shortage of PlayStation in the market. Therefore, even with an increase in supply the prices are kept slightly increased. Figure 1.1.8 shows a typical supply curve where price increase from P1 to P2, is met by an increase in quantity supplied from Q1 to Q2.

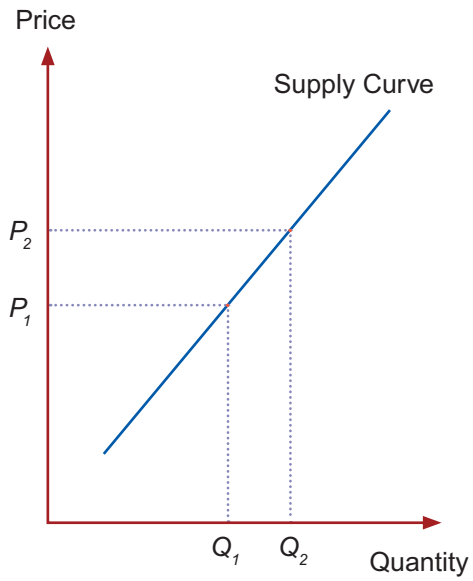


Figure 1.1.8: *Typical supply curve*

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Activity 1.8

Materials required: paper money, chocolates, pens, rubber, sweets

There will be two groups of students. One group will be selling the items and other group will be buying the object. Group with goods will be selling and other group with money will be buying the products.

Questions

a) Which good was mostly bought?

b) Which good was least favoured?

c) What is the collective term for process of buying?

d) Why do you think some goods are favoured than the other?

1.2 Factors of Production

You will learn

- Factors of production
- Rewards from factors of production

Factors of production refer to an economic term to describe the inputs that are used in the production of goods or services in the attempt to make an economic profit. There are four main factors of production. They are Land, Labour, Capital and Entrepreneurship. Each factor of production has its own reward by being a part of the production of goods and services to be consumed by individuals and organisations.

Land represents all natural resources including fish and resources extracted from oceans, which is used in production. Although land is physically fixed some natural resources such as timber and animal are renewable. Regardless of most of land resources being renewable it cannot be considered as 'inexhaustible'. Due to its nature land is considered as a scarce resource. The most common form of reward for land is **rent**. Examples of land include buildings, timber and gold.

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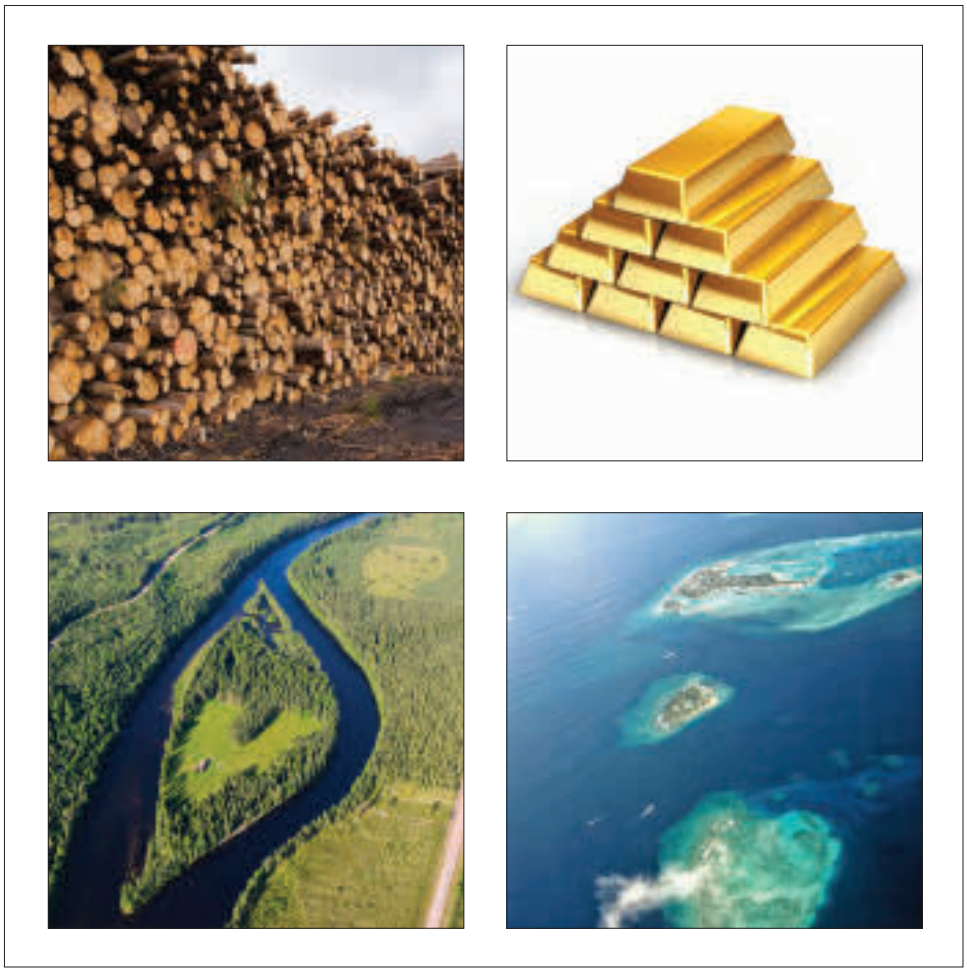


Figure 1.2.1: *Examples of land*

Activity 1.9

Name a local business and identify two forms of land used by this business. Compare these two resources. HOTS

Labour is an aggregate of all the mental and physical efforts either skilled or unskilled, on performing at any level through their knowledge, creativity, personal and social attributes towards producing economic value. Labour is essential in producing things that we desire and want. Also referred to as **human resources** or **human capital**, labour is the people that form a workforce of a society, economy or organisation. Labour and Labourer should not be confused. Labourer is one who works for a person or organisation in return for a reward. The reward for labour is **salaries** or **wages**.

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Mental Labour

Mental labour requires the use of human intelligence





Physical Labour

Physical labour involves using of the human body and requires minimal mental work

Capital or **Manufactured Resources** are man-made resources that can be used for the production of goods and services. The capital can be any form of wealth, whether in cash or assets to be employed in investing. These resources enhance the speed and consistency of produced goods and services. Also, manufactured resources enable humans in making complex things simple. For example, machines and factories. The reward for Capital is **return on investment**.



Figure 1.2.2: *Banks provide investments for businesses*

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Activity 1.10

The pictures given below show a remarkable change that has occurred in the fishing industry of Maldives.





a) What type of change has occurred?

b) Describe what happened to resource usage.

Entrepreneurship is the attempt to create value through recognition of business opportunity, the management of risk-taking appropriate to the opportunity and through the communicative and management skills to mobilize human, financial and material resources necessary to bring a project to fruition.

Entrepreneurs are individuals who take risks and attempts to make an economic profit from an idea by combining all other factors of production. They also have the knowledge and capacity to transform resources into valuable consumer products. The role of an entrepreneur includes the gathering, allocating and distribution of products and services to organisations and individuals in an economy. The reward for entrepreneurship is **Profit** or **Loss**.



Figure 1.2.3: *Some successful entrepreneurs in the Maldives*

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Activity 1.11

From the given list identify land, labour, capital or entrepreneur.

Beach of a resort : .....
Teachers : .....
Ice-cream seller : .....
Reef : .....
Tree : .....
Farming island : .....
Grocer : .....
Landlord : .....
Water Park : .....
Mason : .....
Building : .....
Restaurateur : .....

1.3 Stakeholder

You will learn

- Stakeholders
- Internal and external stakeholders

Stakeholders are individuals, groups or organisations that are affected by the activity of a business. Stakeholders of a business can be classified into two broad categories. They are internal and external stakeholders. Internal stakeholders are individuals, organisations and businesses directly affected by the actions of a business. The external stakeholders consists of others who are indirectly affected by the action of a business.

For example, the internal stakeholders of a fish canning factory will be its shareholders and employees. The external stakeholders would be the suppliers, customers, financial institutions, government and the society.

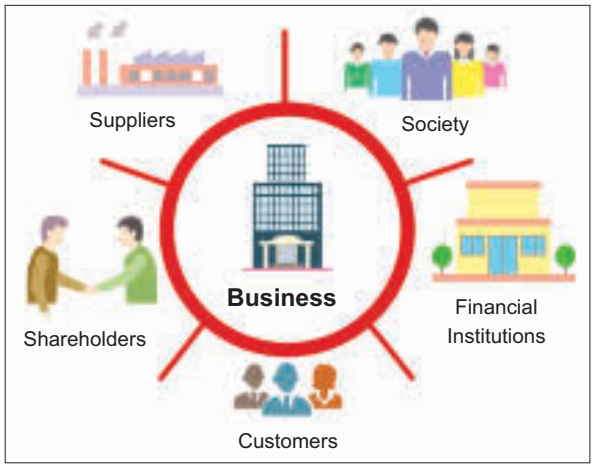


Figure 1.3.1: *Stakeholders of a business*

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Activity 1.12

Sarah is working as a Manager in a private company in the capital City Male´. Each month she saves a portion of her salary. She was born in a small island where there were not many shops around. She aimed to open her own ice-cream shop. After five years Sarah decided to leave her job, and start her dream business.

Answer the following questions

1. What was Sarah's capital?
2. What type of business did Sarah own?
3. Identify the factors of production she used in her business with their description. Justify your answer. HOTS
4. What is the term used to describe Sarah's innovative idea?

Key Terms

Choice: selection between two or more commodities

Consumption: using up of goods and services to satisfy human wants

Demand: quantity of a product or service desired by buyers

Market: place where buyers and sellers meet

Needs: basic requirements or necessities of life

Stakeholder: anyone directly or indirectly related to specific business

Supply: how much the market can offer of a specific product or service

Want: things that an individual desire to have

I Learnt

Write your understanding of the chapter in about 75 to 100 words.

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Key competencies



Practising Islam: Appreciate creation of nature. Learn to practice Islamic values such as reduction of waste through appropriate use of available resources in the most economising manner.



Using Sustainable Practices: Finding more beneficial alternative solution in making most of limited resources. Finding alternative solutions which are more beneficial in terms of opportunity cost.



Relating to People: While needs and wants are daily norms, behaviours such as responsible use of limited resources make the difference within the society.

Self-Assessment

Topic	I have understood	I need help
Difference between Needs and Wants		
What are resources and their different types		
Definition of choice		
Definition of opportunity cost		
Meaning of consumption and its examples		
Meaning of market and its examples		
Difference between a market and a service		
Meaning of demand and supply		
Different factors of production and the rewards we get from them		
Who are stakeholders?		

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Review Questions

1. Define needs and wants.
2. Differentiate between needs and wants.
3. Give three examples of human needs and wants.
4. List three resources which are renewable and non-renewable. Explain your choice of resources.
5. 'Resources are limited, human wants are unlimited' explain this statement.
6. What is meant by opportunity cost?
7. Define consumption and give examples of consumption from the economy.
8. Explain what is meant by demand and supply.
9. What are factors of production?
10. Explain four factors of production which are used in the production process.
11. Discuss the importance of stakeholders in a business.

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2 Basic Financial Accounting

2.1 The Role of Accounting

You will learn

- Accounting and book- keeping
- Users of accounting information
- Classification of assets, liabilities and capital
- The accounting equation
- Simple balance sheet

Book-keeping is the process of detailed **recording** of all the financial transactions of a business. It is necessary for every business to record its financial transactions. This will help the business to process the accounting data in the future.

Accounting further processes the book-keeping information provided by the book-keeper. This processing includes classifying and summarising data, reporting, analysing and interpretation of financial information for an organisation so as to provide meaningful information that helps to make decisions.

Users of Accounting Information

The role of accounting is to provide useful financial information to assist its stakeholders in making financial decisions. These financial users make use of the past accounting information to plan for the future. There are internal and external users of accounting information.

The internal users include owners, managers and employees. **Owners and Managers** are the day-to-day decision makers. They need to plan, control and run the business smoothly. They need to know how well things are progressing financially and the financial position of the business. **Employees** assess a company's profitability and its consequence on their future remuneration and job security.

DID YOU KNOW

Until about 100 years ago, all accounting data were being kept recorded manually in books. Hence the term 'bookkeeping'.

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The external users include prospective partners, buyers, credit suppliers, lenders, competitors and regulatory authorities.

Before entering into a partnership, a **prospective partner** would want to check on the stability and profitability of the business. A **prospective buyer** before agreeing to buy the business would want to see reliable financial information about the business. **Investors**, whether existing or potential ones, want to know whether or not their investment is financially sound.

The business owes money to **credit suppliers**, for supplying goods on credit, and **lenders**, for providing credit facility such as loans. These parties would require information about the business to determine business's financial ability to pay for goods or repay loans (liquidity position).

For knowing the relative strengths and weaknesses of their **competitors** and for strategic purposes, business enterprises examine and analyse the financial statements of other business enterprises, their credit policies and debt collecting procedures.

Regulatory authorities need accounting information to ensure that it is in accordance with the rules and regulations and that it protects the interests of the stakeholders who rely on such information.



Figure 2.1.1 *Internal Users of accounting information*



Figure 2.1.2 *External Users of accounting information*

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Activity 2.1

For each of the following user groups, explain why they may be interested in the financial affairs of a business.

a) Employees

b) Banks

c) Manager

The accounting equation

The **Accounting Equation** is a central part of book-keeping and accounting. It originates from the concept of **Accounting Entity** which treats the business as a separate entity and distinct from the owner and other parties.

It is important to remember that accounting records of a business only relate to the business. Legally, owner of the business is regarded as completely separate from the business. In order to start or continue the business, the funds (resources) provided by the owner, are referred to as **capital**. This is usually in the form of monetary funds; however, the resources may consist of buildings, motor vehicles, goods etc.

The capital or equity represents the amount owed by the business to the owner. The funds provided by the owner may not be sufficient, therefore need may arise to borrow from outsiders like banks. Such amounts owed by the business to outsiders are known as **liabilities**.

Once the business is formed, things owned by the business or owed to the business are regarded as the resources of the business or the **assets** of the business.

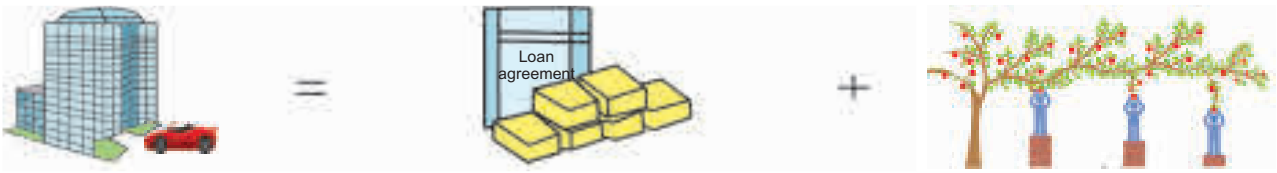
The term **asset** refers to something that is of value to use. Our education is an **intangible asset** which we cannot see or touch. However our car is a **tangible asset**, as we can actually see and touch it. Do we owe for our car? If so, the loan associated with our car is a **liability**. The difference between the asset value and the liability value of the loan is our **equity** in the car.

Example

Anwar starts a business with his own cash of MVR 50000 and a loan of MVR 30000.

Therefore the assets (MVR 80000 Cash) should be equal to the sum of owner's investment and the loan (i.e. Capital MVR 50000 + Liabilities MVR 30000)

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ASSETS
What business owns

LIABILITIES
What business owes to outsiders

EQUITY
What business owes to the owners

Figure 2.1.3: *Relationship between assets, liabilities and capital*

Activity 2.2

Not only the business organisation, but educational institutes also own valuable assets. Identify assets from the school surrounding and list down 10 tangible assets.

Classification of Assets, Liabilities and Capital

Assets are resources owned by a business that have monetary value.

Assets

Non-current assets		Current assets	
Land and buildings	Machines	Inventory	Cash
Motor vehicles	Furniture	Trade receivables*	Bank
• Acquired for operation of the business; not for resale • Physical existence • Useful life more than one financial year		• Cash, or can be easily converted into cash • Include inventory bought for resale • Useful life less than one financial year *People who owe money to the business for goods sold on credit.	

Figure 2.1.4: *Types of assets*

Liabilities are debts that a business owes to external parties (other than the owners).

Liabilities

Non-current Liabilities		Current Liabilities	
Loan	Mortgage	Trade payables*	Bank Overdraft
		Short-term loan	
• Debts owed for more than one financial year		• Debts owed for less than one financial year *People to whom business owes money for goods purchased on credit.	

Figure 2.1.5: *Types of liabilities*

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Capital represents the owner's claim upon a business' net assets (assets minus liabilities). This amount is owed by the business to the owners. Another name for capital is **owner's equity**.

Example

Zuha provided the following information on 1 January 20..3.

	MVR	
Motor vehicles	6 500	A
Cash at bank	2 500	A
Trade receivables	1 900	A
Trade payables	1 800	L
Inventory	3 400	A
Loan	4 000	L

Steps:
1. Classify the items into Assets (A) and Liabilities (L)
2. Rearrange the accounting equation to find the missing figure

REQUIRED

Calculate Zuha's capital at 1 January 20..3

Solution

Zuha's Capital = Assets – Liabilities
= (6500 + 2500 + 1900 + 3400) – (1800 + 4000)
= 14300 – 5800
= MVR 8500

Activity 2.3

Materials required: Bristol board, permanent markers (atleast three colours), ruler, list of assets and liabilities on the board.

Divide the class into groups. Students will do a chart similar to the chart drawn for assets and liabilities classifications using the list of assets and liabilities given on the board as examples. Students are supposed to give a brief explanation for the following terms: assets, non-current assets, current assets, liabilities, non-current liabilities, current liabilities.

Balance Sheet is a statement which shows the financial position of the business on a certain date.It shows the three elements of the accounting equation as **Assets**, **Liabilities** and **Capital**. Like the accounting equation, Balance Sheet shows that a company's total amount of assets equals the total amount of liabilities and capital.

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Every time the business makes a change to the assets, liabilities or capital, the balance sheet of the organisation will be affected. However, a balance sheet will not be prepared after every transaction; instead it will be prepared periodically.

Example

Always remember to write the title and the date

Name of business

Balance Sheet as at ……

Assets	MVR	Liabilities and capital	MVR
Equipment	5000	Capital (C = A – L)	36750
Furniture and Fittings	10000	Trade payables	3200
Motor vehicles	15000	Bank overdraft	2300
Inventory	20000	BML Loan	15000
Trade receivables	3600		
Cash	2450		
Bank	1200		
	57250		57250

Another name for capital- **Owner's Equity**

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2.2 The Double Entry System of Book-keeping

Instead of using Balance Sheet as a statement to prepare and keep the daily accounting records a more practical and easy system was evolved known as double entry system of book-keeping. As the name goes, this double entry system of book-keeping takes into account the two effects of a transaction, which is 'the increase and decrease' or 'the receiving and the giving'.

You will learn

- Double entry system of book-keeping using the 'T' account format
- Double entry rules for assets, liabilities, capital, the asset of inventory, expenses, incomes, drawings and carriage costs

A ledger account is used to record the effects of a transaction using the double entry system. In manual book-keeping,each page of the book can be considered a ledger account. The double entry system divides each page into two halves. The left-hand side of the page is known as **debit** side and the right-hand side is known as **credit** side.

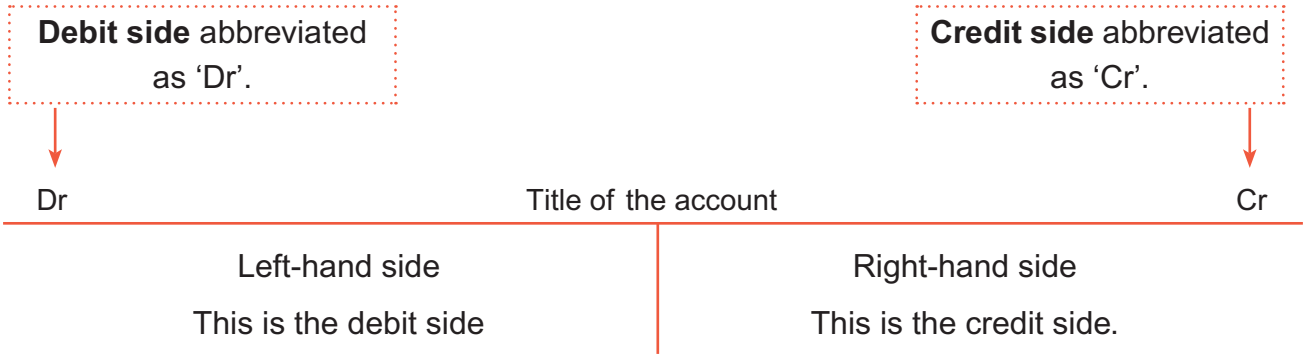


Figure 2.2.1: *The layout of a ledger account*

The shape of the above layout resembles a 'T', hence it is also known as a **T- account**.In order to record two effects of every transaction, each transaction is recorded twice,once on the debit side of receiving account and once on the credit side of the giving account.

Practically each account will be drawn in one page, but for convenience and examination purposes several accounts can be kept in one page.

Example

On 1 March 20..4, the owner deposited MVR 50000 in the bank account which was opened in the name of the business as investment, **Bank account is debited** as the bank is receiving money from the owner, and **credited in the Capital account**, as it is the owner who is giving the money in the form of capital. The double entry would be recorded in the accounts as follows:

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Left side of the account

Right side of the account

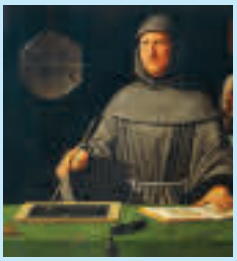
Dr Bank Account (*name of the account*) Cr

Date	Details	MVR	Date	Details	MVR
20..4 Mar 1	Capital *(name of the opposite account which records the transaction)*	50000			

Dr Capital Account (*name of the account*) Cr

Date	Details	MVR	Date	Details	MVR
			20..4 Mar 1	Bank (*name of the opposite account which records the transaction*)	50000

The father of Accounting was Luca Pacioli



Luca Pacioli

Italian mathematician Luca Pacioli published the first book about double entry book-keeping on 10 November 1494. It is in his honour that International Accountants Day was started. He did not invent the system. Instead, he simply described a method used by merchants in Venice during the Italian Renaissance period. His system included most of the accounting cycles as we know them today. The first accounting book actually was one of five sections in Pacioli's mathematics book, titled Summa de Arithmetica, Geometria, Proportioniet Proportionalita (Everything About Arithmetic, Geometry and Proportions). This section on accounting served as the world's only accounting textbook until into the sixteenth century.

Activity 2.4

For the entry shown in the following account, complete the double entry by drawing up the second affected account and write the entry on the correct side.

Dr Equipment Account Cr

Date	Details	MVR	Date	Details	MVR
20..4 April 6	Bank	15000			

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Double entry rule for assets, liabilities and capital

Recall the double entry rule: debit the receiving account and credit the giving account. If the same rule is applied for assets, liabilities and capital, it will be as follows:



ASSETS



LIABILITIES



CAPITAL

- When an asset increases, in other words the business is receiving the asset, therefore double entry rule for *increase in asset is* ***debit***.
- When an asset decreases, in other words the business is giving away the asset, therefore double entry rule for *decrease in asset is* ***credit***.
- When liability increases, in other words an outside party is giving the credit facility to the business, therefore *increase in liability is* ***credit***.
- When liability decreases, in other words the business is paying back to the outside party, therefore *decrease in liability is* ***debit***.
- When capital increases, the owner is giving or contributing more capital in the business, therefore *increase in capital is* ***credit***.
- When capital decreases, the owner is withdrawing part of the contributed capital from the business or the liability upon the business is decreasing, therefore *decrease in capital is* ***debit***.

The double entry rules for *increase or decrease* in assets, liabilities and capital are placed in a table as follows:

Accounts	To record	Double entry
Assets	increase	debit
	decrease	credit
Liabilities	increase	credit
	decrease	debit
Capital	increase	credit
	decrease	debit

The same applied to accounting equation as follows:

	Assets	=	Capital	+	Liabilities
To increase	Debit		Credit		Credit
To decrease	Credit		Debit		Debit

DID YOU KNOW

Having Latin roots, the term 'debit' comes from the word *debitum*, meaning 'what is due', and 'credit' comes from *creditum*, defined as 'something entrusted to another or a loan'.

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Example

↑ increase ↓ decrease A-Assets L-Liabilities C-Capital

		Effect upon and	
		Account to be debited	Account to be credited
20..4			
June 3	Computer Equipment worth MVR 5000 were bought paying by cheque	↑ *Equipment(A)* *Dr*	↓ *Bank (A)* *Cr*
6	Received a loan MVR 5000 by cheque from Ismail, a friend	↑ *Bank (A)* *Dr*	↑ *Loan (L)* *Cr*
16	Owner brought a cheque for MVR 8000 into the business	↑ *Bank (A)* *Dr*	↑ *Capital (C)* *Cr*
22	Sold goods on credit to Nazim MVR 600	↑ *Trade receivables (A)* *Dr*	↓ *Inventory (A)* *Cr*

REQUIRED

Enter the above transactions in the ledger accounts for the month of June 20..4.

Solution

Dr Computer Equipment Account Cr

Date	Details	MVR	Date	Details	MVR
20..4					
June 3	Bank	5000			

Dr Bank Account Cr

Date	Details	MVR	Date	Details	MVR
20..4			20..4		
June 6	Ismail Loan	5000	June 3	Computer Equipment	5000
16	Capital	8000			

Dr Ismail Loan Account Cr

Date	Details	MVR	Date	Details	MVR
			20..4		
			June 6	Bank	5000

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Dr Capital Account Cr

Date	Details	MVR	Date	Details	MVR
			20..4 June 16	Bank	8000

Dr Inventory Account Cr

Date	Details	MVR	Date	Details	MVR
			20..4 June 22	Nazim	600

Dr Nazim Account Cr

Date	Details	MVR	Date	Details	MVR
20..4 June 22	Inventory	600			

Activity 2.5

Write a transaction on your own and record the double entry in the relevant 'T' accounts. *(You may use 5th May 20..4 as the date)*

Double entry for Inventory

So far we have seen 'inventory account' being referred to when goods are bought, sold or even returned. The fact that goods bought will be recorded at cost price and goods sold will be recoded at selling price. Therefore, need arises to maintain separate inventory accounts for sales, purchases and returns.

Goods sold will be recorded in the **Sales account** and goods bought will be recorded in the **Purchases account**. Goods sold to the customers may be returned later, this sales returns or return inwards will be recorded in **Sales returns account**. Goods bought from suppliers may be returned later and this return outwards or purchases returns will be recorded in **Purchases Returns account**.

To apply double entry to the above mentioned four accounts, inventory movement (increase or decrease in asset) is taken into account as follows:

- When goods are sold (sales) or when goods are returned to suppliers (Return outwards/ Purchases Returns), inventory decreases. The double entry rule for *Assets decreases* –

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credit is applied, therefore **Sales account** and **Purchases Returns account always credit**.

- When goods are bought for resale(Purchases) or when customers returned goods (Return inwards/Sales Returns), inventory increases. The double entry rule for *Assets increases – debit* is applied, therefore **Purchases account** and **Sales Returns account always debit**.

Double entry rule for inventory items is explained in a tabular format as follows:

	Debit	Credit	
Increases the inventory	Purchases	Sales	Decreases the inventory
	Sales Returns	Purchases Returns	

Double entry for Purchases and Purchases Returns

Example

The following transactions relate to purchases and purchases returns.

20..4		Effect upon and Account to be debited	Account to be credited
July 2	Bought goods on credit from Hassan MVR 6800	↑ *Purchases Inventory (A)* *Dr*	↑ *Trade Payable (L)* *Cr*
8	Bought goods for cash MVR 3300	↑ *Purchases Inventory (A)* *Dr*	↓ *Cash (A)* *Cr*
19	Returned goods MVR 150 to Hassan	↓ *Trade Payable (L)* *Dr*	↓ *Purchases returns Inventory (A)* *Cr*

REQUIRED

Enter the above transactions in the ledger accounts of the business for the month of July 20..4.

Solution

Dr Purchases Account Cr

Date	Details	MVR	Date	Details	MVR
20..4					
July 2	Hassan	6800			
8	Cash	3300			

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Dr Hassan Account Cr

Date	Details	MVR	Date	Details	MVR
20..4			20..4		
July 19	Purchases returns	150	July 2	Purchases	6800

Dr Cash Account Cr

Date	Details	MVR	Date	Details	MVR
			20..4		
			July 8	Purchases	3300

Dr Purchases Returns Account Cr

Date	Details	MVR	Date	Details	MVR
			20..4		
			July 19	Hassan	150

Example

The following transactions relate to sales and sales returns.

		Effect upon and	
		Account to be debited	Account to be credited
20..4			
Aug 25	Sold goods on credit to Umar MVR 6600	↑ *Trade receivables (A)* Dr	↓ *Sales* / *Inventory (A)* Cr
27	Umar returned faulty goods MVR 300	↑ *Inventory (A)* Dr	↓ *Trade receivables (A)* Cr
29	Sold goods for cash MVR 2350	↑ *Cash (A)* Dr	↓ *Inventory (A)* Cr

REQUIRED

Enter the above transactions in the ledger accounts of the business for the month of August 20..4.

Solution

Dr Sales Account Cr

Date	Details	MVR	Date	Details	MVR
			20..4		
			Aug 25	Umar	6600
			29	Cash	2350

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Dr Umar Account Cr

Date	Details	MVR	Date	Details	MVR
20..4			20..4		
Aug 25	Sales	6600	Aug 27	Sales Returns	300

Dr Sales Returns Account Cr

Date	Details	MVR	Date	Details	MVR
20..4					
Aug 27	Umar	300			

Dr Cash Account Cr

Date	Details	MVR	Date	Details	MVR
20..4					
Aug 29	Sales	2350			

Activity 2.6

Write a transaction for each of the following on your own.

a) Credit sales

b) Credit purchases

c) Sales returns

d) Purchases returns

*(Note: You may use Alim as a customer and Bashim as a supplier. Date and amount are **not** required.)*

Double entry for Expenses and Incomes

Incomes and expenses are not merely the sales and purchases. The salary paid to sales staff, the rent of the premises, sales commission received as a sales agent are also considered as sources of income or expenses of the business. These expenses and incomes arising from normal trading activities need a definition and accounting treatment.

Money spent to run the business on a day-to-day basis is known as **expense**. Examples of expenses include administrative expenses, selling expenses, financial expenses and cost of maintenance and running the non-current assets. Examples of expenses include

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salary, advertising expenses, loan interest payable, motor expenses etc. Money earned from normal trading activities is known as **income**. Examples of income include sales commission received, interest received on investments etc.

The double entry rule for assets and liabilities – *receiving account debit and giving account credit* can be applied to expenses and income. When a business is paying for expense, the expense account is receiving the money, therefore **expense accounts** are **always debit**. On the other hand, when the business receives an income, the income account is giving the value to the business, therefore **income accounts** are **always credit**.

Example

Exp - Expenses Inc - Incomes

The following transactions took place in business in the month of September 20..4.

		Effect upon and			
		Account to be debited		Account to be credited	
20..4					
Sep 1	Paid salaries by cheque MVR 10000	*Salaries (Exp)*	*Dr*	↓ Bank (A)	Cr
27	Received rent MVR 6000 by cheque	↑ *Bank (A)*	*Dr*	*Rent Received (Inc)*	*Cr*
29	Paid for motor expenses by cheque MVR 1200	*Motor Expenses (Exp)*	*Dr*	↓ *Bank (A)*	*Cr*
30	Received commission by cheque MVR3900	↑ *Bank (A)*	*Dr*	*Commission Received (Inc)*	*Cr*

REQUIRED

Enter the above transactions in the ledger accounts of the business for the month of September 20..4.

Dr Bank Account Cr

Date	Details	MVR	Date	Details	MVR
20..4			20..4		
Sep 27	Rent received	6000	Sep 1	Salaries	10000
30	Commission received	3900	29	Motor expenses	1200

Dr Salaries Account Cr

Date	Details	MVR	Date	Details	MVR
20..4					
Sep 1	Bank	10000			

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Dr Rent Received Account Cr

Date	Details	MVR	Date	Details	MVR
			20..4		
			Sep 27	Bank	6000

Dr Motor Expenses Account Cr

Date	Details	MVR	Date	Details	MVR
20..4					
Sep 29	Bank	1200			

Commission Received Account

Date	Details	MVR	Date	Details	MVR
			20..4		
			Sep 30	Bank	3900

Activity 2.7

The following is a bank account prepared from the records of Mohamed for the month of Oct 20..4.

Bank Account

Date	Details	MVR	Date	Details	MVR
20..4			20..4		
Oct 12	Rent received	6000	Oct 1	Rent	10000
20	Interest received	3900	13	Motor expenses	1200
			18	Advertising expenses	3000
			23	Interest paid	1100

REQUIRED

a) From the above Bank account, identify and list down the expenses and incomes.

b) Classify the expenses into administrative, selling, financial or repairs and maintenance.

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Double entry for Drawings

Drawings refer to the value withdrawn by the owner from the business for his personal use. This value withdrawn could be cash, cheque, non-current assets or even goods from the inventory.

Owner's personal withdrawals from the business reduces the capital contributed by the owner. Drawings decrease the capital – as capital decreases debit rule can be applied for Drawings. Therefore, **Drawings account is always debit**.

In other words, it is the drawings account receiving the withdrawn money or goods and cash account, inventory account or Non-current asset account giving the value, therefore receiving Drawings account debit and giving accounts such as cash account, purchases or Non-current asset account being credit.

Example

The following transactions took place in the business's books in the month of October 20..4.

		Effect upon and	
20..4		Account to be debited	Account to be credited
Oct 16	Owner withdrew MVR 2500 cash for personal use	*Drawings (C)* ↓ *Dr*	↓ *Cash (A)* *Cr*
20	Owner took goods worth MVR 800 from the business for own use	*Drawings (C)* ↓ *Dr*	↓ *Inventory (A) (Purchases)* *Cr*
25	Owner transferred MVR 2000 from the business bank account to his personal account	*Drawings (C)* ↓ *Dr*	↓ *Bank (A)* *Cr*

REQUIRED

Enter the above transactions in the ledger accounts for the month of Oct 20..4.

Solution

Drawings Account

Date	Details	MVR	Date	Details	MVR
20..4					
Oct 16	Cash	2500			
20	Purchases	800			
25	Bank	2000			

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Cash Account

Date	Details	MVR	Date	Details	MVR
			20..4 Oct 16	Drawings	2500

Purchases Account

Date	Details	MVR	Date	Details	MVR
			20..4 Oct 20	Drawings	800

Bank Account

Date	Details	MVR	Date	Details	MVR
			20..4 Oct 25	Drawings	2000

(Note: Goods bought would be first recorded in the Debit side of Purchases account. Hence when goods are withdrawn for personal use, Purchases account needs to be credited.)

Double entry for Carriages

Carriage cost is an expense incurred to transport goods from one place to another. Goods bought from suppliers to be carried to the business known as **carriage inwards** or goods may have to be delivered to customers which is known as **carriage outwards**. In both the cases, the expense is incurred by the business. Therefore, same double entry rule as the expenses can be applied, which means both carriages, carriage inwards and carriage outwards are debit.

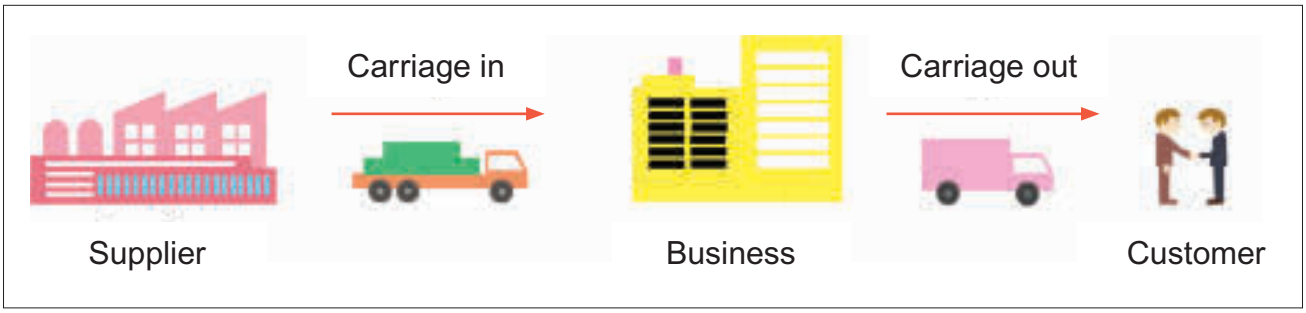


Figure 2.2.2: *Goods carrying in and out of the business*

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Example

The following is the motor expenses of Zain for the month of October 20..4.

Motor Expenses paid by cash MVR 2000

It was noted that Motor vehicle was used 75 percent of the time to carry goods to the business from the suppliers and remaining 25 percent to deliver goods to the customers.

REQUIRED

a) Divide motor expenses into carriage inwards and carriage outwards.

Solution

Carriage Inwards *(Cost of carrying goods from the suppliers to the business)*	Carriage Outwards *(Cost of delivering goods from the business to the customers)*
75 % of Motor Expenses 75 % of MVR 2000 = 2000 * 75/100 = MVR 1500	25 % of Motor Expenses 25 % of MVR 2000 = 2000 * 25/100 = MVR 500

b) Post the entry into carriage inwards, carriage outwards and Cash account.

Carriage Inwards Account

Date	Details	MVR	Date	Details	MVR
20..4 Oct 31	Cash	1500			

Carriage Outwards Account

Date	Details	MVR	Date	Details	MVR
20..4 Oct 31	Cash	500			

Cash Account

Date	Details	MVR	Date	Details	MVR
			20..4 Oct 31 31	Carriage inwards Carriage outwards	1500 500

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2.3 Documentary Records

You will learn

- Source documents and their uses
- Six books of Prime entry
- Two-column and three-column cash book

Source Documents are written documents which give details of business transactions. The documents received and issued by the business are used. These evidences prove that the business transactions have taken place.

Types of Source Documents

1. **Invoice** is a document sent by the seller to the buyer (credit customer) to inform about the amount payable for goods sold on credit.
2. **Debit note** When the customer receives the goods, the customer should check that goods received are in satisfactory condition and they are exactly what was ordered. In case there are any shortages, damages or overcharges, the supplier must be informed by issuing a **debit note**.

   Therefore debit note is a document sent by the customer to the supplier requesting to reduce the total of the original invoice.
3. **Credit note** When the supplier receives a debit note reporting that goods are faulty, damaged or there have been an overcharge on an invoice, the supplier in return may issue a **credit note**. This credit note issued represents the sales return for the supplier and the credit note received represents the purchases return for the customer. Hence, credit note is the source document to record both sales returns and purchases returns.
4. **Statement of account** is a document issued by the supplier to the customer which shows summary of the transactions for a month. This works as a reminder to the customer of the amount due and to settle the account on time.
5. **Cheque counterfoil, Pay in slip and Receipts** There are two main types of bank accounts; **current account** and **deposit account**. **Current account** is an account in bank which helps individuals in frequent or regular money transactions related with a business. Current accounts often earn no interest. However, **saving accounts** or **deposit accounts** generally earn interest and are intended for funds that will not be accessed frequently or on a regular basis.

A **cheque book** will be issued when a customer opens a bank account (current account or deposit account). With the introduction of debit cards, credit cards and direct debits, the use of cheques among private individuals has become very less. Nevertheless businesses still stick with the cheque system.

The cheques can be used to make payments out of the account. Usually a **counterfoil** is attached to the cheque where the same important information as the cheque can be written

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so as to use this information later as a document. When the cheque or cash is paid into the bank, a pay-in slip is completed. **Pay-in slips** can be used as a document which shows that a cheque or cash is deposited in the bank. If the cheques are paid or received through the banking system, the business need not issue a receipt. However, if cash is received or paid by the business, the **receipt** issued acts as a proof of payment. Hence a receipt is a written document which can be used as a proof of payment.

Activity 2.8

Materials required: A copy of an invoice, debit note, credit note and a statement of account.

Divide the class into groups (five students in each group). Let the students discuss and answer the following questions. Give chance to one student from each group to present the group answer.

Questions

a) Who issued the invoice and to whom? Why was the invoice issued?

b) Who issued the debit note and to whom? Why was the debit note issued?

c) Who issued the credit note and to whom? Why was the credit note issued?

d) Who issued the statement of account and to whom? Why was the statement of account issued?

e) List down five important informations contained in the documents given.

Books of Prime Entry

Books of prime entry are the books in which transactions are **first** recorded. These are not accounts; they are simply books listing devices that record the details of transactions. Books of prime entry are also known as **books of original entry, subsidiary books, 'journals'** or **'daybooks'**. The business will have a separate book for each kind of transaction. All transactions should be recorded in one of these books before they are entered in the ledger.

Special Journals

Special Journals are used to record common credit transactions, involving the same accounts which occur frequently. The four specialised journals are Sales journal, Sales Returns journal, Purchases journal and Purchases Returns journal.

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Sales Journal

The Sales Journal records the sales of goods and services to customers on credit. The Sales journal is sometimes referred to as the **Sales day book**. This journal is filled with records using the copies of the **invoices issued** to the customers.

Format of Sales Journal is as follows:

The transactions should be shown in the date order

Cross referencing back to the original 'source document'

Sales Journal

Date	Details	Invoice No.	Amount ($)
	[customer name]		xxx
	[customer name]		xxx
	Transfer to sales account		xxx

Sales Returns Journal

This records the goods returned by the credit customers. The Sales Return journal is also known as **Sales Returns daybook**. This journal is filled with records using the **copies of the credit notes issued** to the customers.

Format of Sales Returns journal is as follows:

The transactions should be shown in the date order

Cross referencing back to the original 'source document'

Sales Returns Journal

Date	Details	Note No.	Amount ($)
	[customer name]		xxx
	[customer name]		xxx
	Transfer to sales returns account		xxx

Purchases Journal

This records purchases of goods from suppliers on credit. The Purchases journal is also called the **Purchases daybook**. This journal is filled up using the **invoices received** from suppliers.

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Format of Purchases journal is as follows:

The transactions should be shown in the date order

Cross referencing back to the original 'source document'

Purchases Journal

Date	Details	Invoice No.	Amount ($)
	[supplier name]		xxx
	[supplier name]		xxx
	Transfer to purchases account		xxx

Purchases Returns Journal

This records the goods returned to the credit suppliers. The Purchases Return journal is also known as **Purchases returns daybook**. This journal is filled with records using the **credit notes received** from suppliers.

Format of Purchases Returns journal is as follows:

The transactions should be shown in the date order

Cross referencing back to the original 'source document'

Purchases Returns Journal

Date	Details	Note No.	Amount ($)
	[supplier name]		xxx
	[supplier name]		xxx
	Transfer to purchases returns account		xxx

The Journal

The Journal or **General Journal** is not a part of double entry book-keeping. It is used to record transactions which will not be recorded in any other books of prime entry. The items usually recorded in the journal are opening entries, purchases ans sales of non-current assets on credit, non-regular year end adjustments, correction of errors etc.

Format of The Journal is as follows:

The Journal

Date	Details	Dr ($)	Cr ($)
	Account to be debited	*xxx	
	Account to be credited		*xxx
	(Narrative – a brief explanation of what is being recorded and why the entry is being made)		

**The total amount debited and total amount credited should always be equal.*

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Activity 2.9

Materials required: A worksheet with two books of original entry drawn up. (A4 paper – different colors)

Divide the class into four groups. Give each group a worksheet. Students discuss and write the possible transactions for each entry in the books of prime entry in the date order. Give chance for one student from each group to present the group answer.

The Cash Book

The Double Entry System of Book-keeping explains the need to maintain separate accounts for each type of business transactions. Likewise, cash and bank transactions which involve flow of money in and out of the business were recorded separately in two accounts – cash transactions in the cash account and bank transactions in the bank account. Since both the accounts involve inflow and outflow of money, it can be shown side by side as a separate book known as **Cash book**. The cash book can either be two-column or three-column.

The cash book with the cash and bank column side-by-side on both debit side and credit side is known as **two-column cash book**. **Three-column cash book** includes one more column on both the sides to record cash discount.

Cash discount is an incentive given to encourage prompt payment. The amount of reduction of the sum to be paid is known as **cash discount**. Cash discounts are classified into discount allowed and discount received:

- **Discount Allowed:** Cash discount allowed by a business to its customers when they settle the accounts within the given time. Discount allowed is an **expense**.
- **Discount Received:** Cash discount received by a business from its suppliers when the business settles the accounts within the given time. Discount received is an **income**.

Format of the Cash book (Three column) is as follows:

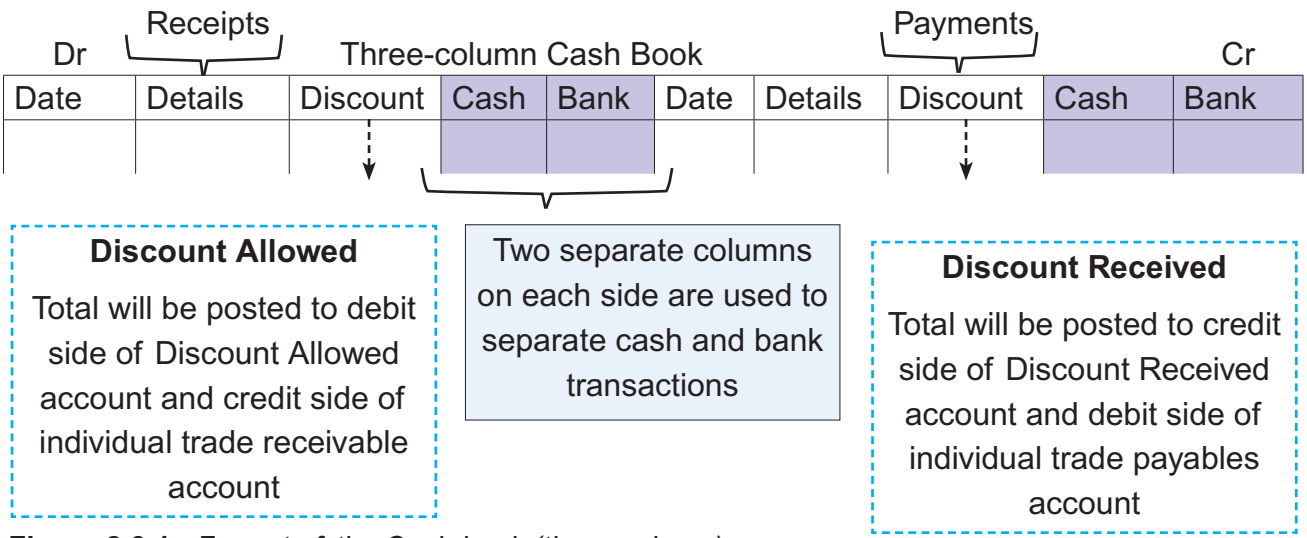


Figure 2.3.1: *Format of the Cash book (three-column)*

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The **debit side** of the cash book records receipts of both cash and bank, whereas the **credit side** records payments of both cash and bank. Source documents for receipts and payments of cash and cheques are receipts, pay-in slip and cheque counterfoil.

Drawing up a Cash Book

Example

The following are the cash and bank account for the month of March 20..5.

Dr Cash Account Cr

Date	Details	MVR	Date	Details	MVR
20..5			20..5		
Mar 1	Balance b/d	2000	Mar 5	Drawings	500
4	Samah	300	18	Azin	1600
8	Rashid	2100	24	Wages	3000
16	Fiyaz	3200			

Dr Bank Account Cr

Date	Details	MVR	Date	Details	MVR
20..5			20..5		
Mar 1	Balance b/d	8500	Mar 7	Purchases	2500
6	Shiyam	800	22	Ziyad	760
10	Loan- Khalid	5000	28	Electricity	2900

REQUIRED

Prepare a two-column cash book for the month of March 20.5 using the entries in the individual cash and bank account.

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Dr Two-column Cash Book Cr

Date	Details	Cash	Bank	Date	Details	Cash	Bank
20..5				20..5			
Mar 1	Balance b/d	2000	8500	Mar 5	Drawings	500	
4	Samah	300		7	Purchases		2500
6	Shiyam		800	18	Azin	1600	
8	Rashid	2100		22	Ziyad		760
10	Loan- Khalid		5000	24	wages	3000	
16	Fiyaz	3200		28	Electricity		2900

*(Note: The cash book is **not balanced** as Balancing of 'T' Accounts is outside the scope of this book.)*

The individual cash and bank accounts show how it would appear if they are kept separately. However, if cash and bank accounts are put together in one book, it is known as **cash book** and it appears as shown in the two-column cash book above. In the cash book above, the debit column for cash is put up next to debit column for bank. The credit column for cash is put up next to credit column for bank. The transactions appear in the cash book in the date order.

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2.4 Sole Trader Financial Statements

You will learn

- Sole trade business
- Financial statements prepared by a sole trade business

There are different types of business organisations, one such business is a sole trade business. **Sole trade business** is any business that is owned and controlled by one person. So the person who owns and controls the sole trade business is known as **sole trader**. A sole trader may employ staff to work in his business. However, ownership will not be shared. Individuals who provide a specialist service like hairdressers, plumbers or photographers, are also sole traders.

Making a profit is the main reason why people start up a business. In case the aim is not achieved or is not achieving often the owner rethinks and diverts his funds towards a profitable cause. Hence calculating such profit or loss is one of the main reason why businesses follow systematic double entry book-keeping. The profit or loss or the financial position of the business is calculated using **financial statements** which are usually prepared at the end of each financial year.

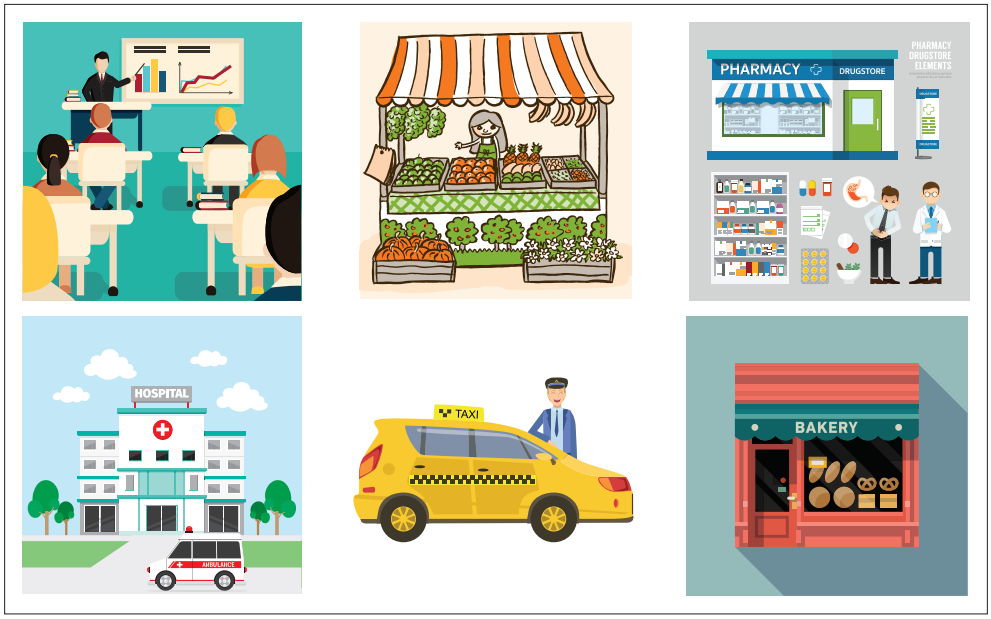


Figure 2.4.1 *Different business organisations*

Financial statements

Income statement

A statement known as Income statement is used to calculate profit or loss arising from the trading business. The Income statement comprises of two sections – **trading account** and **profit and loss account**.

- **Trading account** section is used to calculate trading result of the business and it calculates the profit earned on goods sold. This trading result is known as **gross profit**.

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- **Profit and loss account** section determines the final net profit or loss for the year. Net profit is arrived after taking into account all the running expenses and incomes.

Format of Income Statement

Income statement is part of the double entry system. Following the double entry system, Income statement can be prepared in **horizontal format**. In horizontal format, Income statement follows 'T' account format (left-hand side as debit and right-hand side as credit). However, the most commonly used method by most of the businesses is vertical format. In **vertical format**, double entry rules are being followed, however, the statement is not presented in a 'T' account format.

Format of Income statement in vertical format

Name of the business

Income Statement for the year ended ……

	MVR	MVR	MVR
Sales		XXX	
Less: Sales returns		(XXX)	
			XXX
Less: Cost of sales			
Opening inventory		XXX	
Add: Net Purchases			
Purchases	XXX		
Less: Purchases returns	(XXX)		
Add: Carriage inwards	XXX	XXX	
		XXX	
Less: Closing Inventory		(XXX)	(XXX)
Gross profit			XXX
Add: Other Incomes			
Commission received		XXX	
Rent received		XXX	
Discount received		XXX	XXX
			XXX
Less: Expenses			
Wages and salaries		XXX	
Rent and rates		XXX	
Motor Vehicle expenses		XXX	
Finance Costs		XXX	(XXX)
Net profit (or loss) for the year			XXX

(Note: Put the amounts to be deducted in brackets.)

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Balance sheet

Balance sheet is a statement which shows the financial position of the business on a particular date. It is also known as **Statement of financial position**. The balance sheet is not part of the double entry system. It is a statement which shows assets, liabilities and capital of the business on a particular day, usually end of the accounting period.

Format of Balance Sheet

Name of the business

Balance sheet as at ……..

	Cost	Depreciation to date	Book Value
Non-Current Assets	MVR	MVR	MVR
Land and Buildings	xxx	(xxx)	xxx
Plant and Machinery	xxx	(xxx)	xxx
Office Equipment	xxx	(xxx)	xxx
Fixtures and Fittings	xxx	(xxx)	xxx
Motor Vehicles	xxx	(xxx)	xxx
	xxx	(xxx)	xxx
Current Assets			
Closing Inventory		xxx	
Trade Receivables		xxx	
Bank		xxx	
Cash		xxx	xxx
Total assets			**xxx**
Liabilities and Capital			
Opening capital		xxx	
Add: Net Profit for the year		xxx	
Less: Drawings		(xxx)	xxx
Non-Current liabilities			
Long term loan			xxx
Current liabilities			
Trade payables		xxx	xxx
Total liabilities			**xxx**

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Key Terms

Accounting: the process of recording, summarising, reporting, analysing and interpretation of financial information of an organisation

Accounting equation: the relationship between the assets, liabilities, and capital.

Assets: assets are resources owned by a business.

Balance sheet: statement which shows the financial position of a business.

Book-keeping: detailed recording of all the financial transactions.

Books of prime entry: the books where transactions are first recorded.

Capital: amount owed by the business to the owners.

Carriage inwards: cost of carrying goods from suppliers to the business.

Carriage outwards: cost of delivering goods to the customers.

Cash book: a ledger account which contains cash and bank account and the book of prime entry to record cash and bank transactions first.

Cheque counterfoil: important information about the cheque can be written so as to use this information later as a document.

Credit note: sent by the supplier to the customer confirming the acceptance of return.

Credit side: the right side of the account.

Debit note: sent by the customer to the supplier requesting to reduce the total of the original invoice.

Debit side: the left side of the account.

Drawings: value withdrawn by the owner from the business for his personal use.

Expenses: Money spent to run the business on a day-to-day basis.

Gross profit: trading result of the business (Sales less cost of sales).

Income statement: a financial statement that measures financial performance over a specific accounting period.

Incomes: Income earned from normal trading activities.

Inventory accounts: Sales, Sales returns, Purchases and Purchases returns account.

Invoice: a demand for payment.

Liabilities: debts that a business owes to external parties.

Net profit: Gross profit plus other incomes less all the running expenses.

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Pay-in slip: document which shows cheque or cash is deposited in the bank.

Profit and loss account: used to calculate the final net profit (or loss) for the year.

Purchases journal: where credit purchases are first recorded.

Purchases Returns journal: where goods returned to the supplier are first recorded.

Receipt: act as a proof of payment.

Sales journal: where credit sales are first recorded.

Sales Returns journal: where goods returned by the customer first recorded.

Sole trade business: a business that is owned and controlled by one person.

Sole trader: a person who owns and control the sole trade business.

Source documents: written document which gives details of business transactions.

Statement of account: shows summary of the transactions for a month

Trading account: used to calculate trading result of the business.

Transaction: events which result in changes.

I Learnt

Answer review Questions 8,16,23,28 and 33 on your own and submit your work as an assignment.

Key competencies



Relating to people: Understand how indirectly each one of us becomes a user of accounting information. Introduction of the language of business.



Making meaning: Exhibit the understanding of accounting equation to daily lives, how it can be applied to small businesses, will classify the items used in the surrounding environment into assets or liabilities.



Understanding and managing self: Double entry bookkeeping system and maintaining proper records encourage students to follow certain set rules in their daily lives. Students will realise how following the set rules and systemic record keeping avoids misunderstandings and misinterpretations.

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Self-Assessment

Topic	I have understood	I need help
Definition of book-keeping		
Definition of accounting		
Users of accounting information		
Definition assets, liabilities and capital		
Classification of the items into assets, liabilities and capital		
Write the accounting equation		
Calculation of assets, liabilities and capital using accounting equation		
Preparation of a simple Balance sheet		
Explaination the term 'double entry system'		
Double entry rules for assets, liabilities and capital		
Names of the inventory accounts and double entry rule for each account		
Definition of the term expenses and incomes and double entry rule for each		
Definition of the term 'drawings'		
Explain the three kinds of drawings and double entry for each kind		
Explain carriage inwards and carriage outwards		
Prepare 'T' accounts for transactions involving assets, liabilities, capital, expenses, incomes and drawings		
Explaination of the terms – expenses, incomes, drawings and carriages		
Purpose of each business document		
Listing important information of the document		
Use of six book of prime entry		

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Writing the source documents, books of prime entry and double entry for different transactions		
Differentiate between two-column and three-column cash book		
Drawing two and three-column cash book and recording different transactions		
Features of sole trade business		
Formulas to calculate Cost of sales, Gross profit and Net profit		
Preparation of a simple Income statement and a Balance sheet		

Review Questions

1. Explain the term accounting.
2. Explain the term book-keeping.
3. State users of accounting information.
   a) **two** internal users
   b) **two** external users
4. Explain why the assets of a business are always equal to the capital plus the liabilities.
5. Classify the following into Non-current assets, Current assets, Non-current liabilities and Current liabilities.
   a) Land and buildings
   b) Motor vehicles
   c) Inventory of goods
   d) Trade receivables
   e) Trade payables
   f) Loan from LTR Finance Company repayable after five years.
   g) Cash
   h) Loan repayable within ten months.

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6. Write true or false.

   a) The prime function of accounting is to classify and record business transactions.

   b) Assets + Capital = Liabilities

   c) Business will not owe anything to the owner.

   d) Liabilities are resources owned by the business.

   e) Accounting equation cannot be applied to balance sheet.

   f) Debts owed for less than one financial year is known as short term or current liabilities.

   g) Inventory bought for resale is a current asset.

7. Fill in the blanks.

   a) The accounting equation is _____=_____+_____

   b) Items owned by a business that have monetary value are _____

   c) _____ is the interest of the owner in a business.

   d) Money owed to an outsider is a(n) _____.

   e) _____ shows the financial position of the business at a particular date.

8. Fill in the blanks in the following table.

	Assets	*Capital*	*Liabilities*
a)	12,500	……..	1,800
b)	28,000	……..	4,900
c)	16,800	12,500	……..
d)	19,600	16,450	……..
e)	……..	19,200	6,300
f)	……..	39,750	11,650

9. States which of the following are wrongly classified. Underline your answer.

Assets	**Liabilities**
Loan from Siya	Inventory
Cash in hand	Trade receivables
Trade payables	Money owing to bank
Machinery	
Premises	
Motor Vehicles	

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10. Zena provided the following information on 1 July 20..3.

	MVR
Buildings	10000
Machinery	3000
Trade payables	2500
MBL Loan	5000
Cash in hand	800
Inventory	5600
Trade receivables	1700

REQUIRED

a) State the Accounting equation.

b) Calculate the capital from the balances given (Hint: use the accounting equation).

11. Amy has the following assets and liabilities on 30 April 20..3.

Building	65 000
Motor vehicle	20 000
Fixtures	12 000
Inventory	8 500
Bank loan	10 000
Cash in hand	2 500
Trade receivables	7 200
Trade payables	5 600

REQUIRED

Prepare the balance sheet of Amy to calculate the amount **capital**.

12. Complete the following table.

		Account to be debited	Account to be credited
a)	Bought computer equipment on credit from AvinTecho store		
b)	The owner brought his private motor bike to use in the business		
c)	A trade receivable, Imran, paid the business in cash		

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d)	Repaid part of the loan from Siman by cheque		
e)	Returned some of the office machinery to Sherin		
f)	Bought office furniture by cash		

13. Complete the following table.

		Account to be debited	Account to be credited
a)	Bought goods for cash MVR 4300		
b)	Paid Neena, a trade payable by cheque MVR 1600		
c)	Sold goods for cash MVR 2200		
d)	Anwar returned faulty goods MVR 200 to the business		
e)	Received commission in cash MVR 1100		
f)	The owner brought more cash MVR 10000 into the business		
g)	Paid insurance by cash MVR 400		
h)	A loan of MVR 5000 is received from Hassan		
i)	Withdrew cash MVR 900 from the business for personal use		

14. Fill in the blanks.

a) Every transaction affects at least ……accounts.

b) Increase in asset is …….. .

c) ……. in liability is credit.

d) Increase in capital is …….. .

e) Sales account and ……. ……. account always credit.

f) Money spent to run the business on a day-to-day basis is known as …….. .

g) ……. refer to the value withdrawn by the owner from the business for his personal use.

h) ……. ……. is the cost of delivering goods to the customers

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15. Fatima started a business on 1 November 20..4. The following transactions took place during the first month of trading.

REQUIRED

Enter the following transactions in the ledger accounts of Fatima for the month of November 20..4.

Nov 1 Started business with MVR 15000 in the bank.

5 Bought office equipment on credit from Vian Stores MVR 10000.

8 Bought goods MVR 1000 on credit from Daily goods Store.

13 Sold goods MVR 3000 on credit to Amina.

18 Paid rent by cheque MVR 6000.

16. The following transactions took place in the business of Hashim in the month of December 20.4.

Dec 2 Received a loan of MVR 5000 cash from Ali.

5 Bought motor vehicle on credit from Nza Motors MVR 10000.

8 Received commission in cash MVR 2000.

13 Sold goods MVR 3000 for cash.

18 Paid insurance by cash MVR 800.

REQUIRED

Enter the following transactions in the ledger accounts of Hashim.

17. Yasin spent MVR 1800 for Motor Expenses. It was noted that Motor vehicle was used 60 percent of the time to carry goods to the business from the suppliers and remaining 40 percent to deliver goods to the customers.

REQUIRED

Divide the motor expenses into carriage inwards and carriage outwards.

18. State the purpose of each of the following business documents.

(a) Invoice

(b) Credit note

(c) Statement of account

19. List down five important information that must be included in a document.

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20. State the source document for each of the following transactions

Item	Transactions	Source Document
a)	Bought goods on credit from Amir	
b)	Sold goods on credit to Shiyam	
c)	Shiyam returned damaged goods to the business	
d)	Returned faulty goods to Amir	
e)	Settled Amir account by cheque	
f)	Shiyam paid his account in cash	
g)	Owner deposited a cheque as capital contribution	

21. The following account of Ibrahim appeared in the books of Yusuf.

Ibrahim Account

Date	Details	MVR	Date	Details	MVR
20..5			20..5		
July 8	Returns (ii)	300	July 1	Balance b/d	1300
10	Bank (iii)	3000	5	Purchases (i)	3700

REQUIRED

a) Name the source document for each of the following (i) to (iii) above

b) State whether Ibrahim is a trade receivable or trade payable to Yusuf.

22. The following account of Sahil appeared in the books of Riyaz.

Sahil Account

Date	Details	MVR	Date	Details	MVR
20..5			20..5		
Aug 1	Balance b/d	1430	Aug 1	Returns (ii)	900
10	Sales (i)	4500		Bank (iii)	3700
				Discount (iv)	300

REQUIRED

a) Name the source document for each of the following (i) to (iv) above.

b) Name the book of prime entry for each of the following (i) to (iv) above.

c) State whether Sahil is a trade receivable or trade payable to Riyaz.

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23. Wahid owns a bookshop which sells **books and stationeries**.

REQUIRED

The table below contains some transactions carried out during March 20..5. Complete the table for **each** transaction, stating the prime document, books of prime entry and double entry, stating the account to be debited and account to be credited.

The first transaction has been completed as an example.

Transaction	Prime document	Books of prime entry	Double entry	
			Account to be debited	Account to be credited
Bought some books MVR 6600 on credit from Rehendhi bookstore	*Purchases Invoice*	*Purchases Journal*	*Purchases*	*Rehendhi Bookstore*
Bought office fixtures paying by cash MVR 7600				
Sold story books worth MVR 2030 on credit to LilChamp pre-school.				
Wahid withdrew MVR 1700 from business bank account to pay his home electricity bill				

24. Susan buys goods on credit from Yara. The goods are unsuitable and Susan returns them to Yara. Complete the table below, using a tick (✓) to show who **received** each document.

Document	Yara	Susan
Invoice		
Debit note		
Credit note		

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25. Arif provided the following information on 1 January 20..6.

	MVR
Non-current assets	14 000
Trade receivables	3 012
Trade payables	1 298
Loan from Finance Co	6 000
Inventory	350
Bank overdraft	324
Capital	?

REQUIRED

Prepare an opening journal entry at 1 January 20..6 to show the capital on that date. A narrative is required. (Hint: Use General Journal)

26. The following are the cash and bank account of Gadir for the month of April 20..6.

Cash Account

Date	Details	MVR	Date	Details	MVR
20..6			20..6		
Apr 1	Balance b/d	25670	Apr 4	Rent	5500
3	Hussain	3300	12	Motor Vehicles	14600
6	Ibrahim	870	20	Purchases	1350
17	Sales	2410			

Bank Account

Date	Details	MVR	Date	Details	MVR
20.6			20.6		
Apr 1	Balance b/d	4330	Apr 9	Drawings	2500
6	Ahmed	1800	21	Samha	760
19	Bank Loan	5000	27	Insurance	2900

REQUIRED

Prepare a two-column cash book for the month of April 20..6 using the entries in

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the individual cash and bank account.

27. Below are the transactions of Shiya in July 20..6.

20..6		MVR
July 1	Cash at Bank	10000
	Cash in hand	9900
4	Shiya withdrew money from the bank for her personal expenses MVR 600	
6	Cash sales MVR 10000	
7	Paid wages by cheque MVR 3300	
9	Received a cheque from Nizam MVR 890, in full settlement of his account MVR 920	
16	Sold some of the unused office equipment for MVR 2300, and received a cheque for the same amount	
22	Paid amount owed to Niam Store by cash MVR 560, after a cash discount of MVR 40	
29	Paid motor expenses by cash MVR 250	

REQUIRED

Prepare a two-column cash book for the month of July 20.6.

28. Amina started business on 1 September 20..6 with a capital of MVR 29500 which was paid into a business bank account. Transactions for the month of September 20.6 were:

20.6	
Sep 2	Amina brought additional cash MVR 10000
4	Purchased office equipment and paid by cheque, MVR 9800
6	Bought goods for MVR 6500 cash
8	Sold goods for cash MVR 2000
15	Paid a cheque MVR 6000 to Azeez in settlement of his account,after deducting a cash discount of MVR 500
18	Paid rent of premises MVR 7000 by cheque
20	Received a cheque from Avin for MVR 1800 in full settlement of his account MVR 2000

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25 Amina took MVR 1800 cash for her personal expenses

REQUIRED

a) Enter the above transactions in Amina's three-column cash book for the month of September 20.6

b) From the above transactions identify and complete the table below by indicating source document and double entry in each case.

No.	Transactions	Source Documents	Double entry	
			Debit	Credit
(i)	September 4			
(ii)	September 8			
(iii)	September 20			

29. Aina had the following transactions for the month ended March 20..7.

Dr Three-column Cash Book Cr

Date	Details	Discount	Cash	Bank	Date	Details	Discount	Cash	Bank
20..7					20..7				
Mar 1	Balance b/d		2000	18 500	Mar 5	Purchases (i)		500	
4	Anil		300		7	Drawings (iii)			2500
6	Usha (ii)	20		780	18	Azin (v)	200		1600
8	Riya	100	2100		22	Wages(vi)		3300	
16	Sales (iv)		3200		28	Electricity			2900

REQUIRED

a) Explain entries (i) – (vi) in the cash book. The first one (i) has been completed as an example.
(i) Bought goods for cash MVR500

b) Identify one trade receivable and one trade payable from the above cash book entries.

30. Manih is a trader. The following balances were taken from his books on 30 April 20..7.

	MVR
Purchases	40000
Sales	85600
Purchases returns	1500
Sales returns	1000
Carriage inwards	900
Inventory at 1 May 20..6	8300
Discount received	700
Discount allowed	500
Wages	12200

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General expenses 1800

Additional information:

The inventory at 30 April 20..7 was valued at MVR 8600.

REQUIRED

Using the above information, complete the following income statement. In each of the blanks enter the missing word(s) or figure.

Manih

Income Statement for the year ended……..

	MVR	MVR	MVR
Sales		……	
……		(1000)	……
Less: COST OF SALES			
……		……	
Add: Net Purchases			
Purchases	……		
……	(1500)		
Add: Carriage inwards	……	39400	
		……	
Less: closing inventory		(8600)	(39100)
GROSS PROFIT			……
Add: OTHER INCOMES			
……		……	……
			46200
Less: EXPENSES			
……		500	
Wages		……	
……		1800	(14500)
PROFIT FOR THE YEAR			……

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31. The following balances remain on the books of Samira on 31 July 20..7 after the preparation of her income statement for the year ended 31 July 20..7.

	MVR
Capital	155000
Premises	80000
Inventory at 31 July 20..7	12000
Motor vehicles	15000
Trade receivables	9000
Trade payables	12000
Fixtures and equipment	30000
Drawings	9000
Bank overdraft	4700
Cash	200
Loan (repayable in 20..9)	10000
Motor vehicle	15000
Net loss (Loss for the year)	11500

REQUIRED

Prepare Samira's balance sheet as at 31 July 20..7.

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32. Adil is a trader. The following balances were extracted from his books on 31 August 20..7.

	MVR
Capital at 1 September 20..6	80000
Drawings	14500
Fittings and equipment	12800
Motor vehicles	15000
Trade receivables	16300
Trade payables	9350
Cash equivalent (Bank)	9550
Motor vehicle expenses	7250
Wages and salaries	13450
Financial cost paid	636
Carriage inwards	2000
Discount received	750
Sales	95100
Purchases	74464
Sales returns	950
Purchases returns	700
Inventory at 1 September 20..6	29600
6% Loan repayable in 20..9	10600

Inventroy at 31 August 20..7 was valued at MVR 31200.

REQUIRED

a) Prepare the Income Statement of Adil for the year ended 31 August 20..7.

b) Prepare the Balance Sheet of Adil's at 31 August 20..7.

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33. The following balances have been extracted from the books of Fahi Shopping on 31 October 20..7

	MVR
Revenue	198 000
Finance income	900
Purchases	53 000
Carriage charges	6 900
Sales returns	300
Rent	44 100
Office Salaries	26 200
Sales commission	37 600
Discount allowed	100
Stationery	2 400
Other operating expenses	8 700
Electricity	7 200
Bank	4 700
Inventory 1 November 20..6	39 000
Trade receivables	10 000
Trade payables	11 300
Office furniture	8 000
Motor vehicles	37 300
Premises	104 200
10% long-term loan from Bank	20 000
Financial cost paid	2 000
Capital	100 300
Drawings	14 000

Additional information:

Inventory on 31 October 20..7 was valued at MVR 41000.

REQUIRED

a) Prepare the Income Statement of Fahi Shopping for the year ended 31 October 20..7.

b) Prepare the Balance Sheet of Fahi Shopping as at 31 October 20..7.

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3 Entrepreneurship

3.1 Allocation of Resources

You will learn

- Resource allocation
- Three basic economic questions.

Human needs and wants are unlimited. Resources required for the satisfaction of those needs and wants are limited. Thus, resources should be used wisely to gain the maximum benefit from the scarce resources. **Allocation of resources** is a strategic process whereby an organisation plans to use its available resources (factors of production) for the production of goods and services. In order to determine the best use of scarce resources, every organisation needs to answer the three basic questions of **what to produce**, **how to produce** and **for whom to produce**. These questions are concerned with how the scarce resources are being used. Different economies would have different answers as their means and resources would differ.

What to produce: Regardless of the public or private sector, before a product or service is provided it has to be considered which products are most required and how much of it would be required to produce. With limitation of resources, an increase on one product would mean a decrease on the other (opportunity cost). Thus, careful consideration should be given in terms of opportunity cost and the quantity of the required product.

How much a product is produced is determined by the market forces of demand and supply. If there is an excess or shortage of supply then it would result in fluctuating prices and unstable market conditions. However, in a free market the demand and supply are naturally pushed towards the equilibrium.

DID YOU KNOW

58% of Rwanda's parliament members are women. This is world highest women representation in parliament.

Source: 2015 World Population Data Sheet

How to produce: In order to determine the most feasible methods of production for a good, an organisation would seek the most cost effective method in terms of labour and capital. Depending on the goods for production, an organisation may choose a labour intensive method or capital intensive method for the production.

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For whom to produce: This area focuses on the distribution of the produced goods. Although there may be a demand for the goods produced, it is pointless to produce those goods if they do not reach the consumers.

Activity 3.1

Local Councils are under pressure from the people on how their budget is spent. While some people may want to upgrade an old hospital with new equipment which can give them good healthcare, the others may want to improve the transport system.

Divide the class into two groups; one group who wants to upgrade the hospital and the other group who wants to improve transport system. Choose one pair from opposing groups and debate on the topics. Rest of the students will act as the council who will decide by majority vote how to spend their money.

Activity 3.2

In Activity 3.1, suppose the local government had decided to improve transport system. However, the local government is facing critics about their decision on expenditure of public funds.

a) If you are a local council member what would be your justification for this decision.

b) Explain how you will answer the three fundamental economic questions of, what to produce, how to produce and for whom to produce?

Activity 3.3

You wanted to be an entrepreneur, with finance inherited from your family. You come up with the idea of opening a good standard childcare centre as many women go to work and have difficulty in managing their children at home

a) What is your main aim to start childcare centre.

b) How would you decide on using available resources to start a childcare business.

c) With reference to the three fundamental economic questions, justify your answer on how resources would be allocated to the childcare centre.

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3.2 Economic Systems

You will learn

- Economic system
- Planned economic system
- Market economic system
- Mixed economic system

An **economic system** can be defined as the system in which a country decides and allocates its resources and apportions its goods and services within the national community or a given geographic area.

There are four primary types of economic systems. They are traditional economic system, command economic system, market economic system and mixed economic system. In a **command economic system** there is a strong influence of the government in its economic activities, whereas in a **market economic system** the status of the economy is determined by the free market and the government has no control over economic activities. It may not be correct to state that a true free market economic systems exists as there will be some form of economic control either direct or indirect. A **mixed economic system** is a mix of command and market economic systems.

Traditional economic systems cherish tradition and value which could result in low economic growth due to less exploitation of natural resources. Therefore, these economies may not experience a greater surplus compared to other economic systems. Since a traditional economic system preserves its traditions and heritage, other economic benefits such as modern technology and healthcare could be a luxury whereas other economic systems may take those benefits for granted. However, modern developments and affects of globalisation have seen a decline in the traditional economic system worldwide.

Activity 3.4

Ahmed and Hassan are two friends who were classmates from primary till secondary education. They both belong to a country where there is subsistence economies. This means that in this country every household produces most of the things. Both, Ahmed and Hassan got a scholarship. Hassan went to the United States and Ahmed went to North Korea. The United States has a mixed economy, which is a combination of a free market economy and a command economy. Compared to most other countries around the world, United States is more towards a free market. Whereas, North Korea has a command economic system.

a) What are the disadvantages of the economic system of Ahmed and Hassan's country?

b) Are there any disadvantage of the economic system in the United States and North Korea? Discuss.

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Activity 3.5

Ahmed is amazed with the development in the United States and he wanted his country to follow an economic system as the United Sates. Now Ahmed wanted to his country to change from subsistence economy to a free market economy. Hassan was impressed with the economic system in the North Korea where most public goods and services such as healthcare and education are provided free. Thus, Hassan wanted to persuade his country to follow a planned economic system.

a) If the country is to follow the system proposed by Ahmed, what do you think might be the advantages of the new system?

b) What could be the effect of introducing the new system proposed by Ahmed on:

   i) A physically disabled person

   ii) An eighty year old person with no caretaker

   iii) A child who is orphaned

   iv) A worker who has great demand

c) If the country follows the system proposed by Hassan, what do you think might be the advantages of this new system compared to a subsistence economy?

d) What would be the effect of the introduction of this new system (proposed by Hassan) on:

   i) A physically disabled person

   ii) Seventy year old man who has no child to take care of him.

   iii) A child who is orphaned

   iv) A worker who has great demand

Activity 3.6

A market economy is an economic system where businesses are owned by private owners with the goal of making profit. In market economies, prices of goods and services are set by supply and demand. Examples of countries which has market economic systems are United States, United Kingdom, Germany, and Canada. In a market economy some people can be:

   i) Rich

   ii) Poor

Explain with reasons.

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Why is Maldives a Mixed Economic System?

The Maldives is considered as a mixed economic system because there is the co-existence of private and public sector in economic activities of the country. State interventions play a key role in mixed economies. Although there are no direct influences on the economic activity by the government, the government intervenes through policies, taxes and subsidies. In order to control the import on certain goods such as tobacco and polythene, high customs taxes are imposed. A tendency to change the economic policy can be regarded as a resemblance of a mixed economy.

As such, over the years, the Maldives has seen various phases where there have been economic policy changes. While the Maldives has part qualities of a command economy and part qualities of a market economy, the Maldives can be considered as a mixed economy.

DID YOU KNOW

During 1692 to 1700, in Maldives first half laari was issued by Sultan Mohammadh Ibunul Haaju Ali.

Activity 3.7

After returning from a scholarship abroad, Ahmed and Hassan met their friend Ibrahim. The three friends discussed the economic systems around the world and the relevance to Maldives. Ahmed explained the achievements in the United States economic system. But, Hassan disagreed and said North Korea's planned economy is better. Ibrahim was not positive about either of the suggestions. He said that none of the systems were appealing and a mixed economy would be best suited for his country.

a) Can there be a free market economic system?

b) If a country has a full market economic system, what may be the consequences?

c) List five reasons why a mixed economic system is convenient.

d) Discuss the benefits and write about 100 words comparing free market, mixed and planned economic systems.

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3.3 Production

You will learn

- Production
- Capital intensive production
- Labour intensive production

Production is the process by which inputs (raw materials) are converted into outputs (consumer goods or services) which are of value in order to gain economic profit. For example, if we look at our economy we would find a number of products that are put forward into the market. These include from the breadfruit chips made at homes, fish canned at factories and cement packed in packing plants. Although the breadfruit can be sold as it is, in order to sell it as breadfruit chips, a process of frying and packaging is involved. Thus, breadfruit is the input or the raw material and the output is deep fried breadfruit chips in packets. Similarly, for a fish canning factory the input would be the raw fish and the output would be processed and canned fish.

Production can be classified into two main categories of **capital intensive** and **labour intensive production**. While Capital intensive productions require a high financing cost in order to produce goods and services, labour intensive products require a higher number of workers in order to produce goods and services. Mostly industries such as oil refining, transport and telecommunication have more capital than labour to produce. On the contrary, industries such as agriculture, mining and hospitality require labour. Depending on the ratio of capital required to the amount of labour required, a production can be classified as capital intensive or labour intensive.



Figure 3.3.1 *Labour intensive production*



Figure 3.3.2 *Capital intensive production*

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Activity 3.8

Fish processing



Carefully, look at the picture above and determine if it's a labour intensive or capital intensive production. Explain your answer in about 100–150 words with justifications.

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3.4 Methods of Production

You will learn

- Role of production
- Different methods of production

Any economy or economic system requires the production of goods for consumption. This is because few raw materials or natural resources can be consumed as it is. Resources require to be transformed into various goods and services in order to satisfy the human needs and wants. Production can be classified into three categories. They are job, batch and flow production.

Job production: Certain goods require to be produced for a job. For example, a specialised order from a car manufacturer or handicrafts made in the local islands. In job production each job is unique.

Batch production: This type of production requires the set quantities of a good to be produced. This is most common when there is a moderate quantity of a good that needs to be produced at a given time. For example, a bakery producing bread, cakes and cookies in batches.

Flow production: Also known as mass production, flow production employs an assembly line system where the goods get completed along the line with various parts getting fixed to it and completed at the end. Flow production processes are most ideal and appropriate where the goods require to be produced in large quanitities. For example, the car manufacturing process requires a single flow whereby separate parts are fixed along a continuous flowing line of production to deliver a completed car ready to be sold.

Activity 3.9

a) Identify a production process where there is job production, batch production and flow production.

b) Explain why you think that method of production suits the product being made.

Activity 3.10

Visit a factory in Maldives or watch a video. Observe the production method used in production process.

a) What is the production method used in this factory.

b) Explain why you think that the method of production used in the factory suits the product being made.

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3.5 Sectors of Production

Production can be classified into three sectors. They are **primary**, **secondary** and **tertiary** production. All these three sectors are linked in a production process and require the other sector to complete the production process. The production process is complete when the goods reach the consumer.

You will learn

- Sectors of production
- Primary, secondary and tertiary sector of production
- labour intensive production

Primary: This sector involves the extraction and development of natural resources that are required for a good to be produced. Usually production method employed within this sector is labour intensive. For example, the extraction of oil, harvesting of agricultural products, mining or fishing.

Secondary: At this stage the raw materials get processed and take the shape of the final good which is produced for consumption. For a larger percentage of goods, this sector requires mechanical engineering as the sector involves a transformation process. For example, the tuna cans produced at a tuna canning factory that are ready for dispatch to its expected consumers.

Tertiary: These activities enable the delivery of the good to the consumer. For example, advertising also will fall into this sector as the advertisements would bring the good and the consumer together and facilitate the transfer to the consumer.

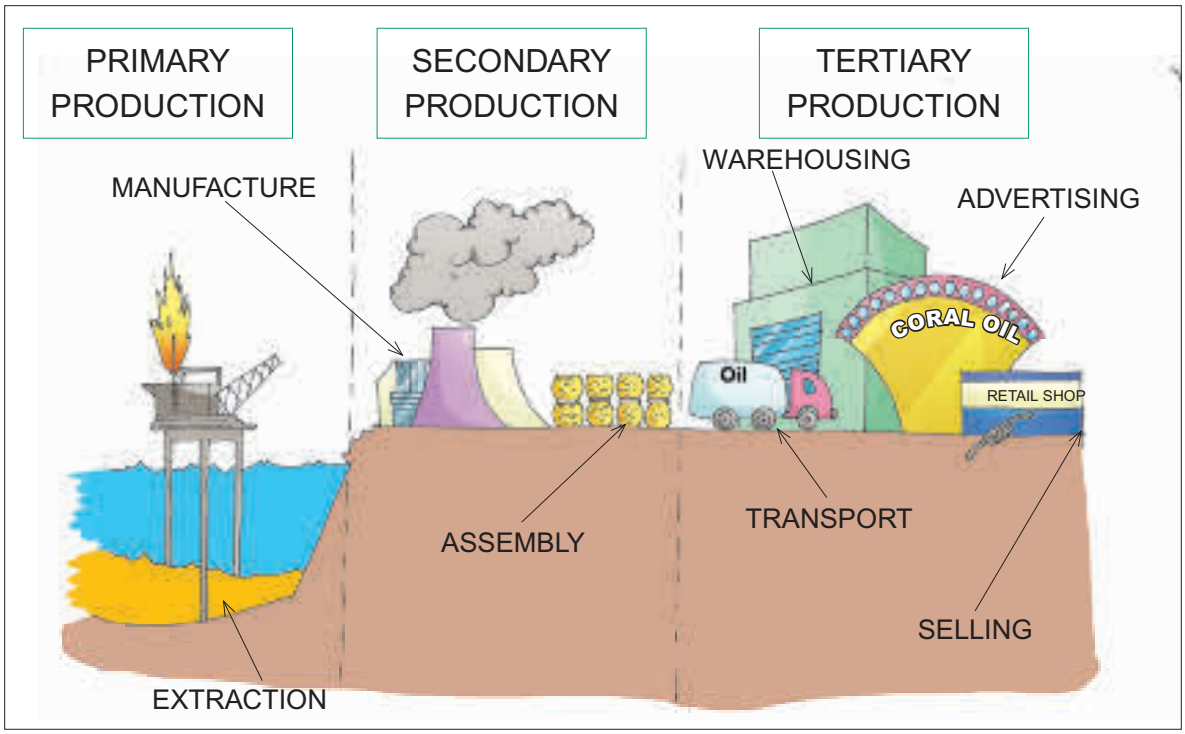


Figure 3.5.1: *Sectors of production*

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Activity 3.11

Sectors of production can be either primary, secondary or tertiary. From Education, Fishing, Tourism and Retailing:

i) Identify the sector which the industry belongs to.

ii) Explain reasons for your choices above.

3.6 Division of Labour

You will learn

- Division of labour
- Advantages and disadvantages of division of labour

When one worker has to complete a whole product then it may require a set of skills or it could increase the time spent on production due to switching of jobs and tools to complete the product. The **division of labour** is the breaking down of different jobs in a production process into smaller jobs so that one can specialise in the work he or she does. By doing so, the production process becomes more efficient resulting in efficient use of resources available and reduction in wastage. As practice makes perfect, the continuous performance of a single job increases the efficiency of the individual with improved speed and skills. The continuous performance of a single task may also lead to inventions as the worker may seek to find ways to improve upon the work he or she is doing.



Figure 3.6.1: *Division of labour*

On contrary to the positivity towards division of labour, there are disadvantages as well. It is human nature to get bored when the same work is being done repetitively. This may cause workers lose interest in work and become careless. Since the work of a single worker does not represent a finished product, he or she may not take pride in the work that is being done which may lead to decreased job satisfaction. A process which employs division of labour is interdependent on each other's work and performance. Therefore, a lag in one area of production could result in an undesired overall effect on the production.

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Activity 3.12

Visit a factory or watch a video which shows the production process in a factory. Observe the job of each worker.

a) Identify the activities performed by workers.

b) Explain how the work is divided among workers and state the term for it.

c) Analyse why work should be divided in this way.

d) Consider whether more could be achieved by the factory if its resources were allocated in a different way.

3.7 Productivity

You will learn

- Productivity
- Marginal and average product
- Law of diminishing return

Productivity defines the efficiency of an organisation in terms of the ability to produce goods and services at given output and input levels during a specified period. Productivity is the increase in output in relation to changes in an organisation inputs. While productivity increases the output of an organisation, it leads to a reduction in costs per unit. This in turn results in higher profits for the organisation. Therefore, productivity is a critical determinant of cost efficiency.

Productivity is calculated by dividing the output by the input for a given period. Input is the total cost or resources used for the production. Non-manufacturing productivity is measured in monetary value. Productivity can be expressed as:

$$Productivity = \frac{output}{input}$$

Example

A worker produces 200 units of a product in an 8 hour work day. Calculate productivity of the worker.

Solution

Worker productivity = 200 ÷ 8

= 25 units per hour

This means that the employee produces a total of 25 units of the product during one hour of work.

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Total Product is the total number of units produced by using a resource or a set of resources in a given period of time. **Marginal cost** is the additional cost incurred to produce an additional unit of the product. However, the marginal product is measured in physical units and is the additional factor of production or resources (input) in producing an additional unit of a product. Further, the **average product** is a ratio which expresses the total product in terms of the total quantity of input used for the production of the product.

Law of Diminishing Return

The law of diminishing return is an economic concept whereby when one factor of production remains constant and the other factors increase i.e. the variable factor diminishes with regard to output per unit. For example, when the number of workers in a factory is increased without proportionately increasing the other factors the output per unit would decrease compared to the increased labour.

DID YOU KNOW

The red and white Coca-Cola logo is recognized by 94% of the world's population

3.8 Promotion

You will learn

- Promotion
- Different forms of promotion

Promotion is the process of generating customer awareness towards a good or service in order to generate sales, create brand awareness and loyalty. Although the main aim is to increase the awareness of a product or service, it also aims towards persuading consumers to purchase a specific product or service. Nevertheless, promotional objectives may be short-term or long-term in nature. A promotion could be towards increasing the sales, expansion of market or even creating interest towards the product or service. Some forms of promotion are TV, radio, online, press and sales promotion.

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Figure 3.8.1: *Advertising process*

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Activity 3.13

Observe your neighbourhood and identify the promotional activities. Justify your suggestions.

Key Terms

Allocation of resources: how scarce resources are distributed between competing uses.

Average product: is the per unit production of a firm.

Division of labour: workers specialising in a particular task.

Economic system: how a country decides what to produce, how to produce and for whom to produce is called its economic system.

Marginal product: is the change in output resulting from employing one more unit of a particular input.

Market economy: an economy where consumers determine what is produced, resources are allocated by the price mechanism and land and capital are privately owned.

Mixed economy: an economy in which both the private and public sectors play an important role.

Planned economy: an economy where government makes the critical decisions, land and capital are state owned and resources allocated by directives.

Primary industry: industry that extracts raw materials from the earth, such as coal, fish or wheat.

Productivity: is the amount of output that can be produced from a given input of resources.

Promotion: raising customer awareness of a product or brand, generating sales, replace to create brand loyalty.

Secondary industry: industry that processes primary products into manufactured goods.

Tertiary industry: industry that provides a service.

Total product: is the overall quantity of output that a firm produces.

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I Learnt

Choose a country of your choice, and a company from that country. Use the chosen company to answer the following questions.

a) The type of economic system in that country.

b) How are the main resources allocated in this economy

c) What is produced by the company?

d) Explain the type of production used in this company?

e) Does this company use division of labour?

f) What is the main method of promotion used by the company?

Key competencies



Practising Islam: seeking help and helping others are Islamic values which can be seen in various economic aspects. Students learn that people, organisations and economies are interdependent in some form.For instance, the concept of division of labour also encourages on seeking assistance from people with different capacities.



Relating to People: students are able to demonstrate their knowledge on various aspects of economic development and improve their knowledge by relating theory with practice.



Living a Healthy Life: various economic terms enhance the business vocabulary of students and boost their self confidence in discussions enabling students to engage in healthy conversations with the knowledge of the subject.



Using Technology and the Media: understand how technology can be applied to enhance processes and to economise the use of resources in order to gain the maximum benefit from the limited resources.



Understanding and Managing Self: the economic systems, resources allocation and production are important areas for a country. Students understand the importance of being organised, managing time and its relevance to management of resources, production and the prosperity of the economy in general.



Making meaning: various terms used help students to express themselves better and associate concepts learned with practical situations in an analytical perspective

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Self-Assessment

Topic	I have understood	I need help
Allocation of resources		
Economic system		
Maldives economic system		
Production		
Capital intensive production		
Labour intensive production		
Methods of production		
Job production		
Batch production		
Flow production		
Sectors of production		
Primary production		
Secondary production		
Tertiary production		
Division of labour		
Productivity		
Total product		
Marginal product		
Average product		
Law of diminishing return		
Promotion		
Different types of promotion		

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Review Questions

1. Choose the best answer.

   a) What are the three questions faced by all economies?

      i) What to produce, when to produce it and who receives it.

      ii) What to produce, how to produce it and who receives it.

      iii) Where to produce, how to produce and when to produce

      iv) Where to produce, when to produce and how to produce.

   b) Market allocation of goods and services:

      i) Works the same way as government allocation of goods and services.

      ii) Always works best when there is no government.

      iii) Only helps rich people get more at the expense of poor people.

      iv) Requires government to protect property rights and enforce the rules of market exchange.

   c) What is the argument for government intervention in an economy?

      i) to make the distribution of income uneven

      ii) to prevent private sector firms from overcharging consumers

      iii) to encourage the consumption of harmful products

      iv) to increase role of price mechanism in allocating resources

   d) Which of the following statement is not true in a mixed economy

      i) most people work for privately-owned firms

      ii) the government normally provides education and health services.

      iii) there is no public ownership of land and capital

      iv) the prices of most goods and services are free to change according to movements in supply and demand

2. Fill in the missing words.

   a) Any economic system has to answer …….. fundamental economic questions.

   b) One of the disadvantage of planned economy is …….. .

   c) A mixed economy is one in which the allocation of …….. is determined by both the ……. mechanism and …….. intervention.

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3. Say whether these statements are true or false.
   a) In a market economy, there are often great inequalities in the ownership of wealth.
   b) In a capitalist economy, most of the land and capital is owned by the state.
   c) Lighthouses are examples of public goods.
   d) In a command economy, firms produce only those goods and services which are profitable to produce.

4. Answer the following questions.
   a) Why do resources have to be allocated in an economy?
   b) Define three types of economic system with examples.
   c) What type of economic system does the Maldives have? Explain your reasons.
   d) What is the aim of producing goods and services for firms in:
      i) A planned economy
      ii) A market economy
   e) Explain what is meant by job, batch and flow production, using relevant examples.
   f) Production can be labour intensive or capital intensive. Explain labour intensive and capital intensive production.
   g) What are the main sectors of production?
   h) With relevant examples, explain sectors of production.
   i) Explain three advantages and disadvantages of division of labour.
   j) What is productivity?
   k) If a company employs 20 workers to produce 400 DVD players per day, calculate the average product per employee.
   l) Firm X and Y produces shoes. In firm X 1000 pairs are produced in a 40 hour week, while firm Y produces 700 pairs in 40 hour week.
      i) Calculate productivity of firm X and Y.
      ii) Which firm is more efficient? Explain why?
   m) Explain law of diminishing return.

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4 Business Organisations

4.1 Types of Business Organisations

You will learn

- Business Organisation
- Aim of business organisation
- Private and public sector

In general terms, a business is the activity of buying and selling goods and services. However, in business terms, a **business** is an entity that engages itself in economic activities seeking to make a profit through individuals working towards a common goal. A business could be commercial, industrial or professional. A business involves provision of goods and services that satisfies a society's needs.For example, a grocery store enables people to buy their grocery items while satisfying their need for groceries. A business can be an organisation that operates for profit or an organisation engaged in business not for a profit such as a corporative working for the benefit of the community.

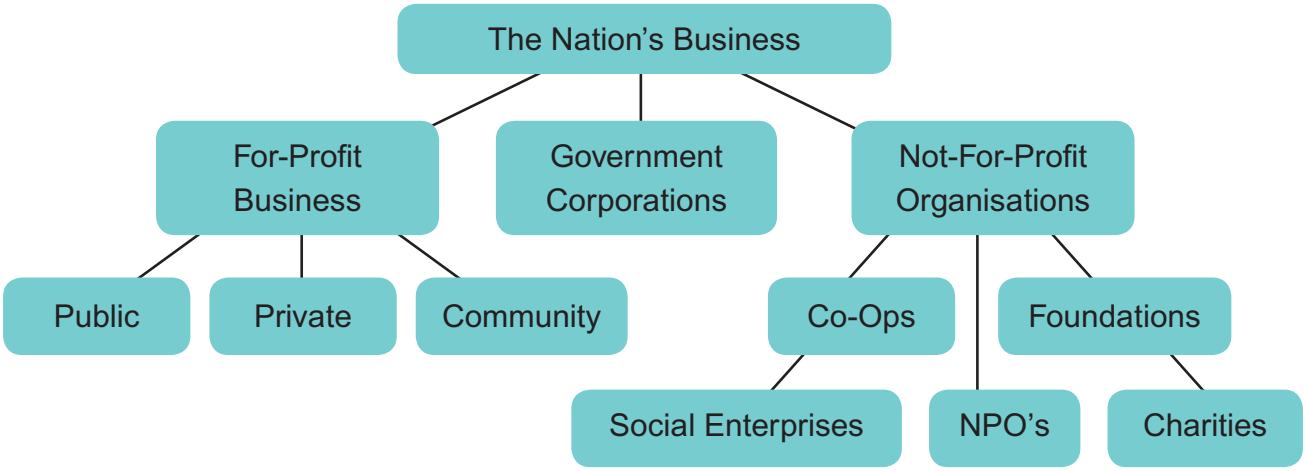


Figure 4.1.1 *Types of business organisations*

Activity 4.1

a) Write a short definition of each of the terms given in Figure 4.1.1.

b) Use your own knowledge of retailers and manufacturers in the local area, try to name a business as an example of each type of ownership.

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As illustrated in Figure 4.1.1, there can be many types of businesses. Businesses can be broadly categorised into private sector, public sector and non-profit organisations.The private sector businesses include private, public and community based businesses. From these, the most common types of private sector businesses are sole proprietor, partnership, and corporations.The public sector includes corporations and municipal enterprises. The non-profit organisations include organisations that are run for the benefit of the society. Since the primary motive of these organisations is to provide service and assistance to its members, profits are not a concern.



Figure 4.1.2 *businesses cater for the needs of individuals*

The Aims of a Business Organisation

Different businesses have different objectives or aims. While some may be interested in making maximum profit to the owner, the others may be more concerned of the services they provide.Voluntary organisation may not operate towards a profit but are more concerned about the services they provide and any business activity would be to fund for the sustainability of the organisation. A nation's businesses can be broadly categorised into two sectors. They are public sector and private sector.

Private Sector vs Public Sector

Private sector is the part of the economy which is not under the direct control of a country's government. The **public sector** is the area on which the government of a country has direct control. These include government owned organisation and entities providing goods and services. Public sector includes schools, public hospitals and parks. While some public



Figure 4.1.3 *citizens rely on some public sector organisations for services*

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sector organisations charge a fee from its users, the others are provided as a service for a country's citizen.Some of these include the fire department and police department. Private sector is relatively larger in free market economies such as the United States where more opportunities and less restrictions are imposed on businesses. In the United States, most of the public services are run by the private sector with low taxes. On the contrary, in the United Kingdom taxes are higher and public services are provided by the government.

Apart from non-profit organisations, private sector businesses are considered to be profit driven. They are more concerned about adding value to provide products and services that could be sold competitively in the market. However, public sector businesses are more concerned with the services they provide for the public.

Funding for its operations is critical for any organisation. The public sector is financed through the taxpayer's money. Private sector is funded by savings or capital raised through issuing shares. Operationally, private sector is driven by creating value addition.Therefore, private sector is adaptive to changes. However, adapting to short term changes may not be possible for the public sector.

Individuals who join the private sector usually seek higher pay, career advancements or expect to gain experience which would ultimately lead to higher pay or career advancements. However, most individuals who join the public sector do so to provide for others and seek stability in their career rather than high pay.

The responsibilities in public sector may be relatively high but authority is often limited. Regardless of how capable or keen a person may be, he or she may not be able make the right decision at the right time. Sometimes, the public sector organisations do not have clear authority and governance, in other cases it is very clear but restricted by laws, regulations and legislations. Most successful private sector organisations have clear structures and well established procedures determining roles and responsibilities of workers. The private sector can be observed to have a balance of authority and responsibility through empowerment.

Activity 4.2

Visit any two businesses from your neighbourhood which belong to two broad sectors of business.

a) Prepare a report of about 200 words about the two businesses.

b) Compare your findings with the characteristics of business organisation.

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Activity 4.3

Indira Gandhi Memorial Hospital (IGMH) is a state-owned hospital, and one of the biggest hospitals in Malé, Republic of Maldives. The hospital is located at the west end of Malé. The hospital is a gift from the Indian Government and is dedicated to Indira Gandhi. IGMH replaced the previous sole hospital, Central Hospital, located at the center of Malé. Central Hospital was later demolished and the location was leased to a private party by the government to make another hospital. The Indira Gandhi Memorial Hospital has 275 beds and provides a range of basic and speciality services.

ADK hospital is a small clinic registered under the name of Mediclinic which opened its doors in Male' in 1987 with a great aspiration to succeed, and to be the best in the business. This marked the beginning of the ADK Group of Companies. The ADK Hospital revolutionised healthcare and medical services in the country by setting standards in the sector, and by complementing the public health service and government hospital.

a) Identify the private and public sector hospital in the scenario and justify your argument.

b) What could be the reason for leasing the location to a private party to build a hospital?

c) Discuss and write down the reasons why IGMH may face more challenges compared to ADK hospital.

4.2 Companies

A **company** is a separate legal entity that engages in business activities. It can be structured in many ways and the ownership maybe from a single person to a number of people. There are three main types of companies. They are sole proprietorship, partnership and limited liability companies.

You will learn

- Companies
- Types of companies

Sole proprietorship: This is the simplest form of business operation within the business organisations. This type of businesses are owned by a single owner and often the owner is the manager of the business. In business terms, a sole proprietor is referred to a person conducting a business which has no legal entity but is individually liable for any debts.

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Partnerships: These are business establishments formed by two or more people sharing profit and losses at prior agreed percentages. In partnerships, a partnership agreement is established defining the responsibilities, limitations and investment details of partners. The agreement states the details of the partnership such as the profit sharing percentage and the business to be conducted by the partnership. Except unless in a limited liability partnership, the liabilities of partners are unlimited. This exposes the owners or the partners to greater personal liability. A partnership has a limit on the number of partners it can accommodate, usually 20 partners. Therefore, partnerships find it difficult to raise more capital and to expand. Although partnerships may be easy to setup as it has a limited scope compared to companies.

DID YOU KNOW

Coca-Cola was named after the coca leaves and kola nuts that were used as flavouring.



Limited liability companies: These include private limited companies, public limited companies and joint ventures. The limited liability companies have limited liabilities meaning that the owners are only liable to an amount not exceeding the amount invested in the company.

Activity 4.4

Visit a small shop which sells retail goods. Conduct an interview with the owner.

a) What were the reasons for classifying the shop owner as a sole proprietorship?

b) List the advantages of being a sole proprietorship.

c) If you are given a choice would you prefer to be a sole proprietorship form a partnership or a limited company? Explain your reasons in about 100 to 150 words.

Activity 4.5

Aisha has worked as a designer for a tailoring company for many years. She often thought of setting up her own business. Having worked as a wedding dress designer she knows how much it costs to buy a wedding dress, which will be worn only once. She thought that a wedding dress rental might be a good idea. She has discussed this idea with her friend Sarah who is also very enthusiastic about the idea.

a) Discuss the advantages Aisha will have by starting her own business.

b) Explain any disadvantages she may face with regard to her decision.

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c) If Aisha decides to be a partner with her friend Sarah in opening a wedding dress shop, what will be the advantages and disadvantages of this decision.

Formation of a Company

Companies are legal entities. Therefore, they need to be registered with the relevant authorities of the government. All the details of the companies will be held with the registrar of companies.

IKEA is the initials of the founder Ingvar Kamprad and the initials of the property and village he grew up in, Elmtaryd Agunnaryd.

To form a company, the goals and objectives of the company need to be identified. This information is written in the **articles of association**. The articles of association include information on the purpose as well as the duties and responsibilities of its members. Further, the members or the shareholders attributes towards the company needs to be identified. These are stated in the **memorandum of association**.

The articles of association and the memorandum of association are two basic documents that are required and need to be filed with the registrar of companies. A company's legal name should be mentioned in both the articles of association and the memorandum of association. In addition, tax registration documents are required to be submitted along with the documents for registration of a company in the Maldives.

Activity 4.6

The wedding dress designer Aisha in Activity 4.5 wanted to add more profit without committing all her free time. She spoke with her classmate Ahmed who is also a business coach. She realised that it might be time to look at ways of making more money that could not be achieved by just charging an hourly rate.

"Ahmed convinced me to give it a try and then pointed out that I might need to re-think how I managed my finances in order to ensure that I didn't expose myself to any unnecessary risk".

a) What motivated Aisha to move from sole proprietorship to a limited company?

b) Identify the documents which are required to form a limited company.

c) Explain three benefits which Aisha will gain by forming a company.

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4.3 Private Sector Businesses

Private sector businesses are those businesses that are run by individuals other than the government institutions and which the government has no operational control. A private sector business may be from a small business with a single owner to a multinational business operated globally with many owners. Rules and regulation are laid down by the government to regulate the private sector.

You will learn

- Franchise business
- Joint ventures
- Cooperatives
- Types of cooperatives

Decision making processes are more convenient and fast in private sector businesses as they are more concerned of any possible profits or losses that may arise due to untimely decisions. Private sector business has more control over the business operations in terms of control over its costs. Private sector businesses are more likely to invest in future such as new technologies, in view to reduce costs of productions and to have a competitive advantage over its competitors.

Private sector companies have the freedom to change price of goods and services at values which best suits them. Therefore, in a situation where there is a scarcity of a good or service that the organisation offers, there is a possibility of prices being increased for the product or service. For example, during the water crisis in the capital city Male' in the year 2014, private businesses increased the prices of storage containers and bottled water.

Activity 4.7

Choose two businesses one is a private business and the other a public business. You are required to study both businesses and answer the following questions.

a) Name a private sector business.

b) Name a public sector business.

c) Discuss how both private sector and public sector businesses are regulated.

d) Explain how decision making and ability to adapt to short term changes takes place in both private and public organisations.

e) Who controls these businesses?

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Franchise

Franchise is a business system in which an owner of a product or service provides the license to sell the products or services along with other privileges. A franchise is usually given to a specific geographical area. Simply said, a franchise is the grant of rights to open an outlet of the product or service of an owning company in a specific location as per guidelines set by the product or service owner. A contractual agreement is signed between the franchisor and the franchisee. The **franchise agreement** would explain in detail the franchisor's rules on operating the franchise.

Generally, in return for the license of rights provided, the franchisee pays to the franchisor a fee or royalty and a percentage of sales revenue. One of the oldest operating franchise in the Maldives can be identified as **Male Aerated Water Company Private Limited** having the franchise of Coca-Cola products. More recent franchises include Marrybrown, Burger King and Secret Recipe.



Figure 4.3.1 *A franchise business operated in the Maldives.*

Activity 4.8

a) In Maldives there are many franchises. Choose any three franchised and complete the table given below.

Name of Business	Produce goods	Provide a service	Target market

b) Explain why a franchising business is could be popular.

c) What are the advantages of a franchising business?

Franchising is a long-term entrepreneur strategy whereby the franchisor grants rights to a franchisee to market and sell products and services of the franchisor through an agreement or a license. By franchising, the franchisor allows of the franchisee to use its business name

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and provide access to the franchisors processes, trademarks and proprietary knowledge. **Franchisor** is the legal owner of the business who offers the franchise. **Franchisee** is the person or organisation seeking franchise from a franchisor.

Activity 4.9

a) Discuss what is meant by franchisee and franchisor and list three franchisees and franchisors.

b) Discuss and explain in about 100 to 150 words, the difference between franchisor and franchisee, and the advantages of being a franchisor and franchisee.

Joint Ventures

Joint ventures are business arrangements and understandings within two or more parties combining their energy and work in order to initiate a commercial enterprise for mutual gain. The joint venture could be for an existing or a new business. The parties contribute their resources according to the joint venture agreement. The agreement defines the roles of each party, their responsibilities and limitations in liability. Businesses turn towards joint ventures when they believe that they would get a competitive advantage by combining their resources with another party. For example, where an organisation lacks expertise in certain areas or have limitation in resources that are required for a specific tender, a joint venture with an organisation who has the required expertise or resources can be an ideal solution to compete for the tender. In general, joint ventures are meant to be short term contractual agreements for a specific project. However, some joint ventures might continue for a longer period depending on the nature of business collaboration. As such, a separate company could also be established under the joint venture agreement. Some companies form joint ventures to gain entrance into foreign markets by forming joint ventures with local companies. By doing so, the foreign company could take advantage of the local company's reputation and the local company perhaps could take advantage of the foreign company's expertise or technological advances. Unless otherwise agreed for a specific proportion in the joint venture agreement, the joint venture parties share equal amounts of profits. It is more appropriate for a joint venture to keep their accounts on cash basis rather than on going concern.

Cooperatives

A **cooperative** is a business owned and controlled by a group of people for their own benefit. The members of a cooperative are not investors but it's the customers of the cooperative. Cooperatives choose their board in an annual members meeting. The decisions within a cooperative are made by the vote of members. Usually, it is a 'one

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member one vote' policy whereby each member gets a voting right and participates in the decisions made. No proxies are allowed for voting. Therefore, the cooperative has a democratic control over its operations and functioning. Unlike other businesses, a cooperative does not work towards profit maximisation. It operates towards provision of services and benefits for its members. However, this does not mean that a cooperative should be run on losses.

The membership in a cooperative is voluntary and open irrespective of race, sex or ethnicity if the person has a common interest in the cooperative and is willing to abide by the rules of the cooperative. There are no restrictions on joining or leaving the corporative. The membership is open throughout without having a fixed term. The membership of a cooperative is not transferable and the number of shares that can be held by any one individual is limited. However, on death of a member, the shares are automatically transferred to the heirs. A membership can be revoked if a person is seen to have lost interest in the cooperative or if he or she does not agree to the rules of the cooperative at any given time.

DID YOU KNOW

Poverty in Maldives: Population living below the MDG poverty line of USD 1.25 is 8 percent and population living below the national poverty line (half the median of atoll expenditure per person per day at MVR 22) is 15 percent.

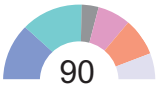
Source: HIES 2009/10

Similar to a company, a cooperative is financed through the sale of shares. Nevertheless, the capital raised is limited as the shares are sold at a very low rate. Sometimes the government also provides financing in the form of loan. Depending on the rules and regulations of the country of operation, a cooperative may or may not declare a dividend as interest on capital to shareholders. Even if a dividend is declared, it will be very minimal. Mostly any profits made are re-invested in the capital of the cooperative or a part of it is spent on social welfare.

Since most of the members of a cooperative may have low income, they may not have had proper education. Thus, having a limited understanding on the concept of cooperatives. This creates bottlenecks that may arise due to differences in thoughts and sentiments. Therefore, to avoid such differences and to function properly through combined decisions of agreeable views, creating awareness among members is essential.

Types of Cooperatives

There are three main types of cooperatives. Namely, consumer, producer and worker cooperatives. However, there are other types of cooperatives such as credit unions, retail or purchasing cooperatives, housing cooperatives and social cooperatives.



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Consumer cooperative: These are businesses that are owned and governed by the customers of the business. However, one does not need to be a member to do business with a consumer cooperative. The consumer cooperative sells products or services that may be required by the members. These cooperatives offer goods at discounted rates and sometimes offer credit to their members. Consumer cooperatives can vary in sizes from very small to million dollar businesses. The primary involvement of a member of a consumer cooperative would be in the consumption of its goods and services.

Producer cooperative: These cooperatives are generally formed by groups within the arena of agriculture such as farming, fishing and forestry. The cooperatives are formed in order to ease their processes and to market their products. The producer cooperative may engage in a variety of activities such as sourcing inputs, equipment, establishment of joint storage and increased distribution networks. Through these cooperatives producers gain collective advantage.

Worker cooperative: In an organisation it's the owner or a small group of owners who take most of the profits. Further, managers are the people who make decisions on the daily operations of the business. For this reason, managers are paid a high wage. While the wages of an ordinary worker are set by the owners or managers, an ordinary worker hardly has any say in the operations or business conditions that may affect their daily life. While, most businesses have a top to down hierarchy, the workers hardy have any influence on their bosses. To overcome this situation with a collective bargaining or action, workers join together to form cooperatives. A worker cooperative can be defined as a group of workers working together towards the benefit of the workers in a democratic and fair environment. Members of a worker cooperative work within the same industry. There is no limitation on the number of members of a worker cooperative and a worker cooperative may or may not have a board of directors.

Activity 4.10

a) What are the main types of cooperative?

b) Explain each type with relevant local examples.

c) Are there cooperatives in the Maldives? Justify your answer.

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4.4 Public Sector Businesses

In contrast to private sector businesses, the public sector businesses or organisations are operated and controlled by the government of a country. For example, public health care services and schools.

You will learn

- Public sector businesses

Cost of the services provided by the public sector are usually funded from the taxpayer. Some public organisations may be very expensive to run therefore a higher proportion of the taxpayer's money may be allocated for those organisations. Thus, taxpayer's money may not be invested in projects that provide the best value for money. This allows the basic costs to be covered and debt to be minimised. Prices are controlled with low profit margins making products and services more affordable. When public sector companies regulate the market there is very little room for private sector businesses to compete or to prosper in the industry. The people who are in charge of public sector businesses can be held accountable which minimises the risk of manipulation and misuse.

Corporations are entities which are separate and distinct from its owners and recognised as having a legal existence with the right to sue and be sued. In the Maldives, corporations are overseen by the Privatisation and Corporatisation Board of the Maldives which assigns and removes directors for public corporations. The main areas of public services are undertaken by government corporations. For example, the state owned organisations such as STELCO and Maldives Road Development Corporation are public sector businesses. These are companies providing some basic requirements for the citizens of the country. If services such as these are owned by the private sector, there is always the fear of increased prices for products and services offered and or creation of unfair competition. Another example would be the Public Service Media.

Activity 4.11

Public corporation and public limited companies are two different types of companies. Compare public corporation and public limited companies. In your discussion, you may include ownership, sector and aim of the company.

Activity 4.12

What could be the reasons that a board is established to assign and remove directors of corporations? Write a critical answer in about 100 to 150 words.

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4.5 Multi-National Companies

You will learn

- Multinational companies

A multinational company is an organisation which owns and controls businesses in other countries other than the country of incorporation. It can also be stated as an enterprise which operates in many countries but is managed from one home country. Some definitions of a multi-national company state that a quarter of its income should arrive from its establishments overseas. Multi-national companies are also known as trans-national companies.

Multi-national companies can gain cost advantage in the international market by establishing business operations in regions where the raw materials and labour are cheaper. Thus, reducing the cost of production. When a business is globally represented, then it is less likely to have a negative impact due to trade barriers. Further, the establishment of business operations in different countries creates employment opportunities in the host country of business operation.

Although there are not many companies operating outside Maldives with its main office in the Maldives, there are a number of foreign based companies conducting their businesses in the Maldives. However, these foreign companies cannot be considered as multi-national companies in the context of Maldivian economy. This is because to be a multi-national company in this country's context, the country should be hosting the main corporate office of the business. As such, there are very few multi-national companies in the Maldives. One such company is State Trading Organisation Limited (STO) which has its businesses overseas and has its corporate office in the Maldives. Other companies such as Hilton, John Keels and Ernst & Young are business units of multi-national companies that have their corporate offices overseas.



Figure 4.5.1 *A multinational Company operated in the Maldives.*

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Activity 4.13

The following table lists some of the multi-national companies. Complete the column for country of origin and their main product.

Company	Country of origin	Main products
Apple		
Coca Cola		
Sony		
Unilever		
Nestle'		

4.6 Nationalisation and Privatisation

You will learn

- Nationalisation and privatisation

The government taking over of an industry is called **nationalisation**. One of the main reasons of nationalisation is that there is a fear that an essential product or service might be discontinued to less viability in operations. In this case, the government takes over and subsidises for any losses to ensure the continuity of the product or service to the public. Nationalisation can happen with or without compensation. An example of nationalisation would be the re-acquiring of Ibrahim Nasir International Airport, Maldives by the government of the Maldives.



Figure 4.6.1 *Privatised school*

Privatisation is the reverse of nationalisation where government owned industries are turned over to private sector. For example, Ghiyasuddin School which was established in 1999 as a government school which was later owned by Shri Educare Pvt Ltd, India, in 2010 under the public private partnership project.

Activity 4.14

Assume one of the public school is privatised. Discuss the advantages and disadvantages of privatising the school.

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Key Terms

Business Organization: an organization established with the purpose of producing and selling goods and services.

Sole proprietorship: a one person business with unlimited liability.

Limited liability: shareholders' liability for the business is limited to the value of the shares they have agreed to buy.

Partnership: a business organization of two more people who are personally responsible for its debts and share its profits.

Private limited company: a business organization with limited liability which can only sell its shares with the approval of existing shareholders.

Public limited company: a business organization with limited liability which sells its shares to the general public.

Franchise: is a type of license that a party (franchisee) acquires to allow them to have access to a business's (the franchiser) proprietary knowledge, processes and trademarks in order to allow the party to sell a product or provide a service under the business's name.

Public corporation: a business organization owned by the government which is designed to act in the public interest.

Multinational company: a company which produces in a number of countries.

Co-operatives: a firm that exists for the benefits of its members.

Nationalisation: the taking into state ownership of private sector firms.

Privatisation: the sale of public sector assets to the private sector.

I Learnt

Choose the main three types of business organisations; for profit business, government corporations and not-for-profit organisations. Write an analytical report of about 125–150 words about your understanding of this three type of businesses.

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Key competencies



Practicing Islam: Islam teaches on being fair and just. Eliminate unfair competition and encourage healthy competition.



Thinking Critically and Creatively: while businesses in the local community are important, it is equally important compare and contrast business around the world to understand and explore opportunities for the Maldivian companies in a global context.



Living a Healthy Life: through identification of the most suitable types for investments, students will be able to make their own economic decision at various stages of their life.



Using Technology and the Media: in a globalised world where businesses are far yet close, students are encouraged to explore businesses and its practices around the world through various technological means.



Understanding and Managing Self: through the understanding of various types of business organisation students are able to compare and suggest the most appropriate type of business for themselves or to another entrepreneur.



Making Meaning: various terms used help students to express themselves better and associate concepts learned with practical situations in an analytical perspective.

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Self-Assessment

Topic	I have understood	I need help
What is a business		
Business objectives		
Two broad categories of business		
Public sector		
Private sector		
Companies		
Sole proprietorship		
Partnership		
Limited liability companies		
Formation of a company		
Franchise		
Franchisor		
Franchisee		
Joint ventures		
Cooperatives		
Consumer cooperative		
Producer cooperative		
Worker cooperative		
Corporations		
Multi-National Companies		
Nationalisation		
Privatisation		

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Review Questions

1. Choose the best answer.

a) A_____ is a form of organisation in which the owner maintains complete control over the business and is personally liable for business debts.

i) Sole proprietorship

ii) General partnership

iii) Corporation

iv) Limited liability company

b) A _____ is a form of business organisation in which two or more business owners share the management and risk of the business.

i) Sole proprietorship

ii) General partnership

iii) Corporation

iv) Limited liability company

c) A_____ is a legal business entity that is separate from its owners and managers.

i) Sole proprietorship

ii) General partnership

iii) Corporation

iv) Limited liability company

d) A business that provides goods or services without seeking profits for distribution to individual members is a _____.

i) Not-for-profit organisation

ii) Partnership

iii) Cooperative

iv) Corporation

e) What type of business organisation does not usually have shareholders?

i) A multinational company

ii) A partnership

iii) A private limited company

iv) A public limited company

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2. Answer the following questions.
   a) In about 100 words, explain who owns, controls and is responsible for any debt, in a sole proprietorship and in a partnership.
   b) Why do sole proprietorship often find it difficult to raise money for investment?
   c) What are the advantage of a private limited company rather than a partnership as a form of business organisation?
   d) Differentiate between private sector and public sector.
   e) What are the main documents required to form a company.
   f) What is a joint venture company? Give examples from the Maldives economy.
   g) What are the different types of cooperatives? Explain each.
   h) Define multi-national companies and give examples from the local economy.
   i) Define nationalisation and privatisation providing local examples.

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5 Financial Institution

5.1 Exchange

You will learn

- exchange and barter system

Exchange is the act of giving and taking. An exchange can happen only when the item offered for exchange is of value to the other individual willing for the exchange. Exchange can be done in commodity or financial means. For example, a fisherman will have fish, and a farmer will have fruits and vegetables. So, the fisherman could get fruits and vegetables by giving fish to the farmer. The most common form of exchange currently used is money. In ancient times where money was not yet invented as a means of exchange, people and communities used to fulfil their needs and wants through exchange of goods that are of value to the other. This was known as barter system.

Barter is a system whereby commodities are offered in exchange for goods and services. For example, if you exchange one of your story books with your friend for a pencil case, then you have bartered. Due to the difficulties in barter system such as not being able to match with the commodities available for exchange and after the introduction of money, barter system is now hardly used. Nevertheless, there are some organisations and associations encouraging barter system to save money. For example, there are online markets where students can list their used books to be traded with books of interest listed by other members.



Figure 5.1.1: *Barter system*

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Activity 5.1

From the following cases, identify an act of exchange:

		Exchange	Not an exchange
a)	Ahmed got a new PlayStation for his birthday; he wanted to give his friend his old PlayStation.		
b)	Sarah got two same titles of a storybook on her birthday and she wanted to have another title of the same series of books from her friend by giving one of her books of same title.		
c)	Aisha received a new storybook. When she finished reading the book, her friend asked if she could borrow it.		
d)	Ali got a Burger for lunch but you have a Pizza; you and your friend Ali decided to share your lunch.		

Activity 5.2

Read the scenario and answer the following questions:

Picnic Island is famous for growing fruits specially watermelon. The neighboring Iruvai Island grows both vegetables and fruits. This year Northeast Monsoon had affected Iruvai Island severely and some of its crops are severely damaged to the extent that they don't have enough for their daily needs. Those damaged crops are mainly fruits. The council of Iruvai Island met to decide the best way to get fruits for the Islanders. One of the council members suggested to visit nearby Island and see how the situation was in those islands:

a) Without involving money how can they sort out their problem?

b) What name is given to this process?

c) Discuss how they can settle this problem. HOTS

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5.2 Evolution of Money

You will learn

- Money
- history of money
- invention of mone

For an exchange to happen, what is offered for goods and services should be of value to the person offering the goods and services. Therefore, one may not fulfill the desired need through barter system if the person does not have something of value to offer to the provider of goods and services.

The need to establish a common medium of exchange which can be used to fulfill ones needs lead to the invention of money. One of the most common forms of money used in the Maldives in early days was the cowry shell. **Money** can be anything which can be used as a common medium of exchange, has an economic value and can be served as a means of economic calculation. Currently, money in currency is issued by the central bank of the country and in the form of notes and coins.



Figure 5.2.1: *Evolution of money in the Maldives*

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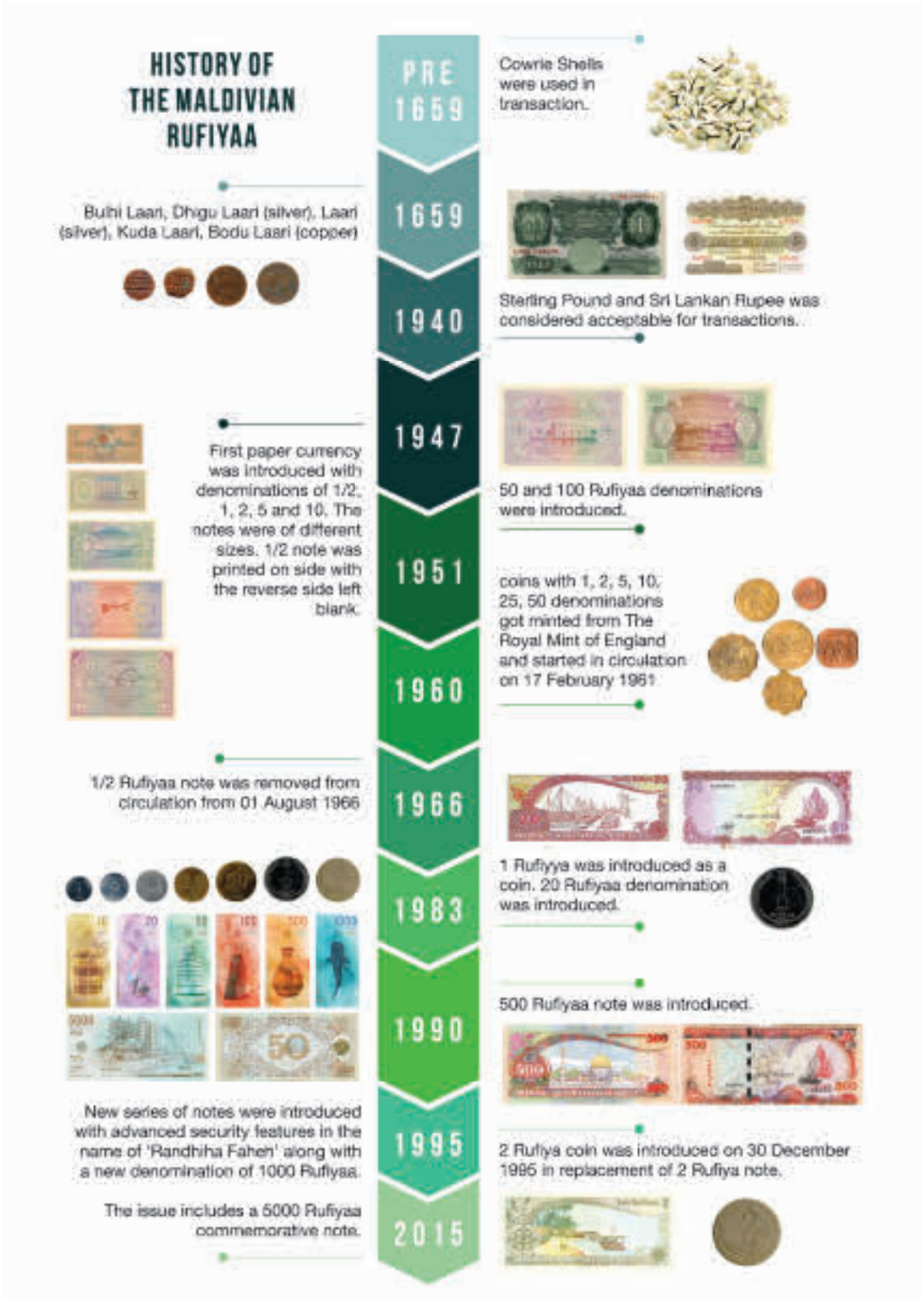


Figure 5.2.2: *History of money in the Maldives*

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Coins are the divisible of notes and are given as change or used to make small purchases. Every country has coins and notes. The coins used in the Maldives are called Laari. One Rufiyaa is equivalent to 100 Laari. The coins used in the United States are called Cents and Pence in the United Kingdom.



Figure 5.2.3: *Coins in circulation in Maldives*

A Bank note is a piece of paper money issued and endorsed by the central bank of a government where a stated sum has to be paid on demand to the bearer. Bank notes are used as a medium of exchange to buy expensive goods and services. It bears security features such as holograms and fine prints making it difficult to replicate and are issued in limited supply.



Figure 5.2.4: *Advancements and changes to a 100 Rufiyaa note*

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Table 5.1: Currencies used in SAARC countries

Country	Currency Name	Currency Code
Afghanistan	Afghan afghani	AFN
Bangladesh	Bangladeshi taka	BDT
Bhutan	Bhutanese ngultrum	BTN
India	Indian Rupee	INR
Maldives	Maldivian Rufiyaa	MVR
Nepal	Nepalese Rupee	NPR
Pakistan	Pakistani Rupee	PKR
Sri Lanka	Sri Lankan Rupee	LKR

Characteristics of Money

In order to be accepted as a medium of exchange, money should possess certain characteristics. Therefore, money should be generally acceptable, durable, portable, divisible, homogenous and limited in supply. It should be generally acceptable to everybody. If people are not willing to accept it as money then it will not be able to carry out the functions of money. People will not accept anything which will go rotten as money or anything which may last for a week or which may rust, corrode or deteriorate in some form. Money should be convenient to carry with people. People would like to carry lots of purchasing power without much inconvenience to them. Therefore, it should not be too bulky or heavy for a person to carry. While dividing it into small units, it should not lose value. There should not be any problem making small payments or large payments. Every note or coin of the same value should be exactly same so that people can easily recognise it as money. Money should be limited in supply. That is because anything which is unlimited has no economic value and cannot be used as money.

Activity 5.3

The following is a list of commodities which have a value. Discuss if they could be used for monetary transactions and explain with the characteristics of money.

a) Gold

b) Flower

c) Cowry Shell

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Activity 5.4

Below are images of an early Maldivian bank note and the current bank note. Compare the two notes and discuss the changes to the note over the period. Focus your discussion to include changes such as security features and characteristics.





Functions of Money

Money allows people to buy and sell products. In the past many things have been used as money for example, cowry shells, gold and silver coins. With money, life is easier and many problems are solved as people do not have to carry the lot they want in exchange to buy. The functions of money are: medium of exchange, act as a store of value, unit of account or measure of value and standard deferred payments. The most important function of money is that it enables people to exchange product or goods conveniently.

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HISTORY OF MONEY

PRE-HITORY

COWRIE was introduced as the first form of money by the Chinese. Till the 20th century Africa used cowrie as money.



1200 BC

Livestock was mostly used in BARTER. Commodities such as salt were used to pay for goods and known as COMMODITY MONEY. Roman soldiers were paid in salt.



1000 BC

The first coin was minted in China. The coin was practical; easy to carry and durable.



700 BC

Turkey introduced precious metal coins which were made in gold and silver.



800 AD

Merchants deposited their gold with goldsmiths who in turn gave a paper receipt of deposit which eventually was used as money. The first European bank note was from Sweden.



TODAY

Now we have more secure forms of currency notes, coins and cheques. Further, directions are towards a cashless world where use of cards and Internet transactions are becoming a daily norm.

VISA MasterCard PayPal

Figure 5.2.5: *History of money*

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5.3 Banking System

You will learn

- banks
- different types of banks

A **Bank** is an organisation which deals with finance. There are different types of banks. The different types of banks are: commercial bank, investment bank, saving bank, Islamic bank and central bank. Different banks have different functions and offer different services. The services of banks include receiving deposits, making payments and financing activities.

A bank accepts deposits from customers and keeps it safe on behalf of the customers. In order to make deposits, an individual or organisation have an account opened with the intended bank. There are different types of accounts that can be held in a bank. Some of them are savings accounts, current accounts and fixed deposit accounts.



Figure 5.3.1: *Electronic transaction through cards*

The banks also allow to make payments from a respective account through various modes of payments. Some of the modes of payment include cheques, direct debits and electronic cards. Cheques are an alternative for bank notes. It is a safe way of carrying cash as the cheques are issued to a specific bearer and money can only be withdrawn by the bearer of the cheque. Direct debits are executed through instruction given to a bank by a customer. For example, a customer may request the bank to settle bills on behalf of the customer from his or her account through a direct debit. Today, cards can be seen as the most commonly used payment method due to its convenience in carrying and safety. A card is linked to the customer's account and any payments made through the card are deducted from the account. Cards can be of two types. They are credit card and debit card. Debit cards allow payment up to the value available in an account held with the bank. Whereas, credit cards are linked to accounts with a credit limit allowed by the bank which can be settled on a later date. However, the bank makes the payment to the merchant immediately on behalf of the card holder through the credit limit allowed to the credit card holder.

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Figure 5.3.2: *A cheque from the Bank of Maldives*

Financing activities of a bank include providing overdrafts and loans for individuals and organisations. Loans are the most profitable activity of conventional banks. Loans are issued to be repaid with an interest. Bank overdrafts are facilities allowing customers to over draw from their accounts up to an agreed limit. Usually overdrafts require a collateral to be placed at the bank for the value of the overdraft.

Activity 5.5

From the below listed banks operated in the Maldives, identify the local and international banks.

a) Bank of Maldives Plc
b) State Bank of India
c) Habib Bank Limited
d) Bank of Ceylon
e) The Hong Kong and Shanghai Banking Corporation Ltd.
f) The Mauritius Commercial Bank (Maldives) Private Limited
g) Maldives Islamic Bank Pvt. Ltd.

A **commercial bank** is a financial institution offering its services to the public, government and business. Bank or commercial bank offers services such as accepting deposits and providing financial assistance through loans. Also, a bank is a safe place to keep savings deposited. The bank keeps record of the transactions on behalf of the customer for a nominal fee. There are different types of banks to cater for various financial purposes. Some of the types of banks are: Central Banks or the Regulatory Banks, Commercial Banks, Investment Banks (Merchant Banks), Savings Banks and Islamic Banks.

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Investment banks, also known as the Merchant Services Banks serve mainly to large firms and act as an intermediate in managing their shares and business takeovers. Further, they accept deposits from and lend money to these firms and keep records of financial transactions.

A **Savings bank**, as the name suggests serves the general public encouraging savings by providing attractive interest rates for money deposited in the bank for a period of time. Compared to an Investment bank, the rules are much lenient with increased flexibility in withdrawals making it convenient even to the low income group.



Islamic bank, is a financial institution mobilising financial resources and investing it in a Sharia compliant manner. The Islamic banking concept eliminates interests and promotes fairness through the sharing of profits and losses among all the parties involved in an endeavor. The Islamic bank has a Sharia board acting as an advisory council to the bank in its operations ensuring Islamic principles are followed.

Central bank, is the government bank and is the regulatory body of all the banks operated in a country. Central bank is an independent body which makes rules and regulations on banking sector operations. Central bank also provides banking to the government and the other banks.



Figure 5.3.3: *Some banks in Maldives*

Table 5.2: Central banks of SAARC countries

Country	Central Bank
Afghanistan	Da Afghanistan
Bangladesh	Bangladesh Bank
Bhutan	Royal Monetary Authority of Bhutan
India	Reserve Bank of India
Maldives	Maldives Monetary Authority (MMA)
Nepal	Nepal Rastra Bank
Pakistan	State Bank of Pakistan
Sri Lanka	Central Bank of Sri Lanka

Source: *http://www.saarcfinance.org/index.html*

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Activity 5.6

Aisha lived in an Island where the land was fertile and crops grew easily. The family sustained on income from farming. However, Aisha accepted an opportunity from the government to migrate to another island with a larger population. The offer included a fully furnished newly built four bedroom house. After migration Aisha realised that the land was not fertile and that crops could not be grown. Therefore, Aisha had to look for a new source of income. Her only asset was the knowledge of baking gained through a diploma program. With keen interest in baking she wanted to run a bakery. However, she lacks the investment required for the startup including the equipment and labour.

Starting a bakery will need an investment. For example, she need things such as ovens, a place to have bakery and few workers.

a) Is it possible for Aisha to start her own business?

b) Explore and determine how Aisha could finance her new business. Explain you answer.

c) Discuss any risks that could be involved in this method of financing.

5.4 Stock Exchange

You will learn

- stock exchange
- types of securities

A **Stock** is a supply of anything which is kept for sale. Similarly, a stock in a stock exchange is shares of the listed companies in the specific stock exchange. A publicly owned company trades their shares in a stock exchange enabling the public to buy and sell their shares freely in a marketplace. A **stock exchange** is a regulated financial market where securities are traded. Securities are financing or investment instruments which have a proof of ownership with an assigned value that can be sold. Some forms of securities include, shares, debentures and bonds. The stocks of public companies in the Maldives are traded through the Maldives Stock Exchange. In a global scale, NASDAQ in New York, London and Tokyo are the leading stock exchanges in the world. However, Chinese Stock Exchange is increasingly becoming global in recent years.



Figure 5.4.1: *Different stock exchanges*

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Activity 5.7

a) Visit the Maldives Stock Exchange (MSE) and obtain information requirements to get listed in the stock exchange.

b) Discuss the advantages for companies in getting listed in MSE?

c) Using the information gathered, write a report of (75–100 words) about listing on the stock exchange.

Key Terms

Bank note: a piece of paper issued by the Central bank which can be used as a medium of exchange.

Bank: an organisation which deals with finance.

Barter: act of exchanging goods and service.

Central bank: the government bank and all the bankers' bank.

Coins: divisible of notes.

Commercial bank: financial institution offering its service to the public, government and business.

Exchange: the act of giving something in return for another.

Investment bank: serves mainly to large firms and act as an intermediate in managing their shares and business takeovers.

Islamic bank: a Sharia compliant bank.

Money: anything that can be used as a common medium of exchange.

Saving bank: a financial institution for the general public.

Stock: supply of anything kept for sale.

Stock exchange: regulated financial market where securities are traded.

I Learnt

Write your understanding of the chapter in about 75–100 words.

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Key competencies



Practising Islam: learning Islamic banking and the concept of Islamic banking, student will know interests are not allowed in Islamic Sharia and how to avoid this. By this way, students will inculcate the habit of practicing Islamic principles in banking. The Holy Quran 2:275 states,

> *"Those who consume interest cannot stand [on the Day of Resurrection] except as one stands who is being beaten by Satan into insanity. That is because they say, 'Trade is [just] like interest'. But Allah has permitted trade and has forbidden interest. So whoever has received an admonition from his Lord and desists may have what is past, and his affair rests with Allah. But whoever returns to [dealing in interest or usury] - those are the companions of the Fire; they will abide eternally therein."*



Understanding and Managing Self: learning about money and banks, students will learn how to manage their budget. This will create an interest to save for the future. By this way students learn to manage self, using the banking system, most appropriate for situation.



Making Meaning: money is used every day for different purposes, learning money and banking, students become more meaningful as they know how in real world people use financial institutions.



Relating to People: learning exchange and barter system, students will have learn to communicate with people and understand their needs. In addition, each child would know their relevance to people and their daily needs. In fact, it is a relationship between two or more people to conduct a transaction.

Self-Assessment

Topic	I have understood	I need help
Definition of exchange		
Can identify examples of exchange		
Definition of choice		
Difficulties of barter system		
Definition of money		

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Describe types of money		
Characteristics of money		
Functions of money		
History of money		
Definition of banks		
What is commercial bank		
What is Investment bank		
What is Saving bank		
What is Islamic bank		
What is Central bank		
Differentiate different types of banks		
Definition of stock		
What is stock exchange		
Different types of securities		

Review Questions

1. Define exchange.
2. Explain how barter system works.
3. Explain the difficulties of barter system?
4. Describe the types of money.
5. State the features of money.
6. What are the functions of money?
7. Discuss the evolution of money.
8. What are the services of banks?
9. What are the different types of banks?
10. Explain the different types of banks.
11. Discuss the importance of banks to an economy.
12. Define stock and stock exchange.
13. State the different types of securities.
14. Discuss the importance of a stock exchange.

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6 Population

6.1 Demography

You will learn

- Population and census
- Factors influencing population growth
- Reasons for migration

Demography is the study of human population density. Primarily, it includes the study of size, structure and development. In a broader perspective, it includes fertility, mortality and migration. It is important to understand the changes in population dynamics. For this purpose, ratios, rates and proportions are used. Demographic indicators include population size, population growth rate, crude birth rate, crude death rate, total fertility rate, life expectancy and infant mortality rate.

Population is a group of people living in a particular area or country during a given period of time, sharing similar features and characteristics. Population can be categorised into three broad categories. Namely, household population, population of a country and world population. A *Household Population* is a group of people residing in a single housing unit who live and eat together. Commonly, a household population consists of two or more people who are related. However, a household population could also include people who are unrelated but living and eating together. *Population of a country* refers to the number of people living within a country during a given period of time. *World population* is the total number of people living in all the countries around the world at a given period of time.

Activity 6.1

a) Make a list of the world's 15 most populous countries for the year 2015.

b) Make a list of the 10 most populous islands in the Maldives.

c) List three advantages of an increase in population.

d) List two disadvantages of a decrease in population.

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Census is an official counting of a region's or nation's people and the compilation of economic, social and other data, for a given time period. Unique information regarding the socio economic status of the country are collected through a census. The socio economic data includes information about families or households and individual characteristics such as age, sex, marital status, literacy, education, employment status and occupation and geographical location. This information helps governments to formulate development policies.



Figure 6.1.1: *Enumerating process*

Activity 6.2

State a minimum of five questions that might be important to include in a census on:

a) Education

b) Employment

c) Households

Table 6.1.1: Maldivian Population by Atolls for 2006, 2014 and percentage change

Atolls	2006	2014	Percentage Change
North Thiladhunmathi (HA)	13,314	13,004	-2.3
South Thiladhunmathi (HDh)	16,214	18,570	14.5
North Miladhunmadulu (Sh)	11,830	2,127	2.5
South Miladhunmadulu (N)	10,015	10,556	5.4
North Maalhosmadulu (R)	14,643	14,934	2.0
South Maalhosmadulu (B)	8,893	8,919	0.3
Faadhippolhu (Lh)	8,346	7,996	-4.2
Male' Atoll (K)	10,149	12,232	20.5
North Ari Atoll (AA)	4,855	5,915	21.8
South Ari Atoll (ADh)	6,921	8,183	18.2
Felidhu Atoll (V)	1,502	1,622	8.0

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Mulakatholhu (M)	4,654	4,711	1.2
North Nilandhe Atoll (F)	3,662	4,140	13.1
South Nilandhe Atoll (Dh)	4,720	5,329	12.9
Kolhumadulu (Th)	8,451	8,923	5.6
Hadhdhunmathi (L)	11,743	11,841	0.8
North Huvadhu Atoll (GA)	8,007	8,477	5.9
South Huvadhu Atoll (GDh)	10,991	11,653	6.0
Gnaviyani (Gn)	7,636	8,095	6.0
Addu Atoll (S)	17,862	19,829	11.0

Source: Maldives Population & Housing Census 2014

Activity 6.3

Refer to Table 6.1.1

a) Explain the pattern of population growth in the Atolls?

b) What are the reasons for the positive and negative growth in some of the Atolls?

c) Give at least two reasons for any positive or negative growth rate and justify them.

Factors affecting population

Population plays an important role in the economy of a country. For any business to survive, an existing demand for goods and services is essential. It is necessary that a country has a reasonable population to create such demand. However, demand may not always be triggered by population. The three main factors affecting population are birth rate, death rate and net migration.

Birth Rate is the average number of children born in a country compared to the rest of the population. Usually, it is calculated as the number of live births per one thousands of people in a population for a given year.

Death Rate is the total number of registered deaths per one thousand of a population in a certain area or country per year. Death rate is also referred to as mortality rate.

Net Migration is the difference between immigration (people coming in) and emigration (people going out) of a country. A favourable value indicates that more people are moving into the country than the number of people moving out of the country. A negative value indicates the reverse.

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Factors affecting birth rate

Birth rate is a significant factor in population changes. Birth rates vary between countries and changes over time due to changes in factors relating to economic development, changes in lifestyle and beliefs.

Early marriage: When people get married at a young age it provides a longer period for reproduction. The stretched time period for reproduction increases the probability of couples having more children. It is a common observation that in less developed countries more marriages happen at an early stage of life. On the contrary, it is observed that people in developed countries, get married at a mature stage of life. Thus, it could be said that there might be a possibility of increased birth rate in less developed countries compared to developed countries.

Living standard: A household's standard of living could be determined by the extent of the quality of goods and services enjoyed by the household. For a certain extent, it could be said that the higher standard of living by a household is a reflection of better quality of goods and services enjoyed by the household. In many less developed countries, people living in poor conditions tend to have large families to assist them in producing food and work to earn money. However, factors such as poor living conditions may result in illnesses due to unhealthy or unsanitary conditions. Improvement in food quality, housing, sanitation and medical care could cause a reduction in the number of children dying. Further, awareness and determination of couples to have smaller families could result in lower birth rates.

DID YOU KNOW

According to Maldives census 2014, the resident population of Maldives is 402,071 of which 338,434 are resident Maldivians and 63,637 are resident foreigners.

Customs and societal beliefs: It has become a norm in developed countries to have smaller families leading to fewer births. In less developed and developing countries, many people are less aware of family planning measures. In addition, people in closed societies tend to have societal beliefs to have large families due to lack of awareness which may result in higher birth rate.

Female employment: Women in developed countries in comparison to developing countries are observed to have a higher status with more women going for higher education, employment etc. In such situations, birth rate tends to be minimum as some may not want to take time off to raise children. In less developed countries, women are more likely to remain at home looking after children and get involved in household chores rather than participating in economic activities. This could result in an increase in birth rate as these women have more time to manage larger families.

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Activity 6.4

Read the following scenario and answer the following questions.

Muraka Island has a population of over 5000 people. The island is considered to have a medium sized population with infrastructures such as a school, a hospital, and other government authorities such as a council office, a court and a power station. After a change in management of the school, there had been positive improvements in the performance of students during the past few years with more students initiating tertiary education. However, the school has also seen years during which the results of students were not very promising and leading students to either join the work force or getting married. Recently, in an effort to create awareness and reduce issues related to early marriages leading to breakups, the island council established policies to ensure that young couples are accessible to counselling before and after their marriage. To support the council's policies, the island, hospital has initiated an awareness campaign on early marriages and family planning. With increased awareness and changes in societal beliefs, more women are engaged in economic activities leading to the economy of Muraka Island to flourish.

Questions:

a) From the above scenario identify factors that will effect birth rate of Muraka Island.

b) Identify any two factors which are not mentioned in the scenario.

c) From the identified factors in question a) and b), explain any three.

d) Discuss how you foresee the population of Muraka Island.

Factors affecting death rate

Death rate is influenced by many factors such as nutrition, living conditions, medical facilities and working conditions etc. Death rate varies between countries and changes over time because of changes in the following:

Availability of advanced medical and health care facilities: Improved medicine and health care has prevented or cured many diseases resulting in increased life expectancy. The main epidemics and killer diseases of the nineteenth century like cholera, tuberculosis and smallpox can be cured by modern medicine, resulting in reduced death rates. In some countries, especially less developed countries, diseases such as Human Immunodeficiency Virus (HIV) or Acquired Immune Deficiency Syndrome (AIDS) are prevalent and have reduced life expectancy resulting in many challenges to the health system of those countries.

Earlier, a greater percentage of the population of the Maldives had limited access to

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proper healthcare. This was mainly due to the lack of access to proper healthcare facilities, the geographical distribution of the Maldives and difficulties in transport services. Today, with improved transportation and established medical facilities at various regions of the Maldives, people are able to seek healthcare at more ease. Further, the introduction of a public healthcare insurance scheme has encouraged people to seek medical consultancy at early stages of sickness avoiding medical complications, increasing life expectancy.

Living standard: Better quality food, housing and sanitation can improve life expectancy resulting in reduced death rate. The World Health Organization's (WHO) global status report on non-communicable diseases 2010, revealed that eating unhealthy diet, use of tobacco, insufficient physical activity, and harmful use of alcohol has increased non-communicable diseases (NCD). According to WHO, NCD's are the most common cause of global deaths. About eighty percent of NCD deaths occur in low and middle income countries.

Natural and manmade calamities: Natural and man-made calamities such as earthquakes and tsunamis, famines, wars and escalating violence have also had a big impact on death rate especially in many less developed countries. For example, the civil war in Sierra Leon from 1991 to 2002 had resulted in estimates of about 70,000 people being killed and 2.6 million people displaced from their homes (Evaluation of UNDP assistance to conflict-affected countries, 2006). Another example would be the Syrian civil war from 2011 to 2014 during which time the United Nations human rights office reported 190,000 people as killed.

Activity 6.5

According to the National Bureau of Statistics of the Maldives, since 1990's the Maldives has seen a decline in growth rate and reaching a growth rate of 1.65 in 2014.

Explain why the Maldives might have had a decrease in growth rate after 1990.

Migration and factors influencing migration

Migration refers to the movement of people from one place to another for settlement purposes. People tend to migrate to other countries where there are more job opportunities, better education facilities, better working conditions and environment, improved living standard etc.

Immigration is the movement of people into a country. **Immigrants** are the people who come into the country. **Emigration** is the movement of people out of a country and **emigrants** are the people who go out of the country.

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Net migration is the difference between the number of people coming into a country (immigrants) and the number of people leaving a country (emigrants) over a particular period of time.

Natural growth of population is the difference between the birth rate and death rate of a population in a country for a given period. Natural growth rate is the rate at which the number of people increases in a given period of time.

Natural growth rate of population = *Birth Rate – Death Rate*

Internal migration is the movement of individuals within a country or state. The geographical nature of the Maldives is such that the population is scattered into small islands, spread over the Indian Ocean. The people moving from one island to the other are considered as internal migrants. They are people moving in search for opportunities such as education and improved living standards and who would stay in their destined place for a considerable period of time. For example, a large percentage of the Maldivian population have migrated to the capital city Male' for various benefits such as employment, better healthcare and education. Internal migration may cause social inconveniences as it causes rapid expansion and overcrowding. On the contrary, internal migration encourages more economic activities due to creation of demand. Further, it makes government projects on social infrastructure more viable as the projects would serve a greater percentage of population of the country.

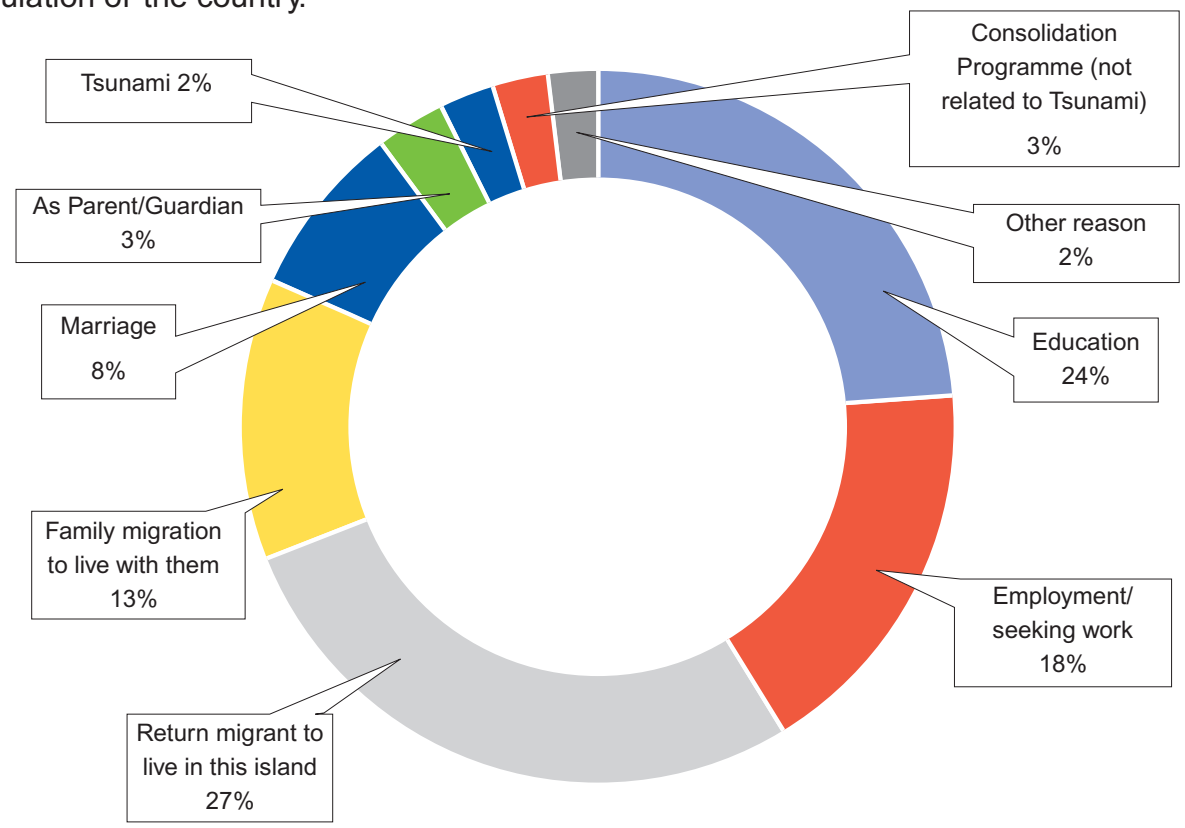


Figure 6.1.2: *Resident Maldivian population with a different previous residence with reasons for migration, 2014*

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As shown in Figure 6.1.2, the main reason for migration in the Maldives is to live in another island, better educational opportunities and employment purposes and due to family migration. A high proportion of school children who migrate for educational purposes may not return to their home Island once they complete their education due to lack of job opportunities in less populated islands with low economic activities.

Activity 6.6

"The capital Male' is increasingly becoming the major business centre of the country attracting a lot of migrants from the other islands. This trend has exacerbated during the 2000 and 2006 inter-censal period. While the total population of the country grew at 1.7 percent annually, the high level of migration of the island population to Male' has resulted in a first time ever decline in the atoll population in 2006. The atoll population declined at a rate of –0.1 percent, while population of Male' grew rapidly at an average annual rate of 5.8 percent. This has resulted in the proportion of population living in Male′ to increase from 27 to 35 percent during 2000 and 2006".

Source: Census Analysis 2006

According to this report, there is a significantly large number of internal migration from Islands to the capital city Male.

a) What are reasons for people to migrate from Islands to Male' City?

b) Give at least three reasons for your answer and justify them.

Activity 6.7

Read the following scenario and answer the questions.

According to Census 2014, the Maldives had a total population of 407,660. The population consisted of a resident population of 402,071 and 5,589 locals living abroad. The residential population consisted of 338,434 locals and 63,637 foreigners. Following the notion of previous censuses, the 'total Maldivian population' enumerated in Census 2014 was 344,023 compared to 298,947 in 2006, an increase of 15 percent. Due to the difficulties in enumerating non-resident Maldivians, it can be said that the number of non-resident Maldivians are understated in the census.

Questions:

a) What is the term used for foreign workers and explain the term.

b) Explain three reasons why foreign workers come to Maldives.

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c) What is the term used for the Maldivians who live abroad, and explain it?

d) Calculate the net migration over the given period of time.

e) Do you think the net migration figure in census 2014 represents the real scenario of immigration and emigration in the Maldives? Justify your answer.

Natural rate and actual rate of increase in population

Information about population growth is an important indicator in planning ahead towards delivery of essential facilities and communal services to the population of a region or country. Natural rate of increase and actual rate of increase are two main indicators of population growth. While the **natural rate of increase** in population is the difference between birth rate and death rate, the **actual rate of increase** is calculated after taking into account the net migration. These indicators facilitate comparison among populations of different sizes.

6.2 Population Distribution

You will learn

- Population distribution
- Dependency ratio
- Working age population
- Population pyramid

Age Distribution refers to the proportionate number of people or percentage of the population in successive age categories in a given country or region. Age distribution is also known as the age composition. The changes in fertility are the main reason for the differences in age distribution among countries. However, migration can also cause changes in the composition as there will be increased number of young people due to migration while not much changes would be seen in the category of aged people. In the Maldives, by law, children of age 18 years and below are considered as minors and the official retirement age is set at 65 years. Although the employed population (working population) are all the people who actively participate in the workforce, the working age group is classified as the people aged between 15 to 64 years. However, the working age group should not be confused with the employed (working) population.

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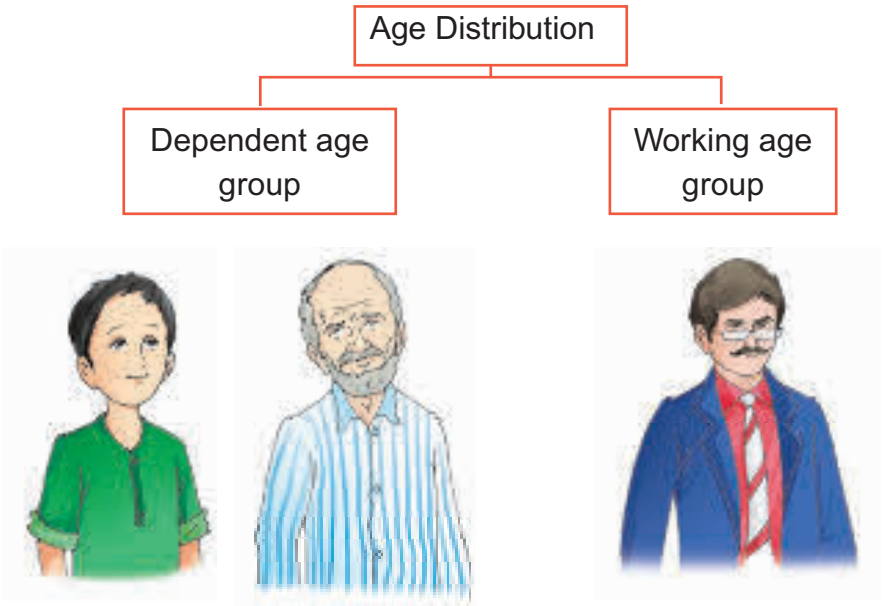


Figure 6.2.1: *Age distribution of a population*

Dependency ratio relates the number of dependent people in a country or region to the number of people in the working age group. In Maldives, the dependant population would be the age categories 0 to 15 years and 65 years and above. The dependency ratio can be a broad indication of the requirement of social support needs for the social and economic development of a country. Changes in population structure is reflected in the dependency age group. The dependency ratio is calculated as a percentage, by dividing the number of dependant age group from the number of people in the working age group. Structure is reflected in the dependency age group. The dependency ratio is calculated as a percentage by dividing the number of dependant age group by the number of people in the working age group.

$$\textbf{Dependency ratio} = \frac{\textit{number of people in dependent age groups}}{\textit{number of people in working age group}} \times 100$$

Example

A country has a total population of 34 million people with 25 million in the working age group. Calculate the dependency ratio and interpret it.

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Solution

Number of dependent people = 34 – 25 = 9 million

$$\text{Dependency ratio} = \frac{9 \text{ million}}{25 \text{ million}} \times 100$$

$$= 36 \text{ percent}$$

This means for every 100 people of working age, there are 36 people in the dependent age group.

The birth rate can be considered as one of the main causes of changes in the dependent age group. If a country has low birth rate, then the country is likely to have a lower dependent age group. Similarly, increased birth rate would also result in higher dependent age group. Further, increased life expectancy due to better health care systems could also affect the dependency ratio.

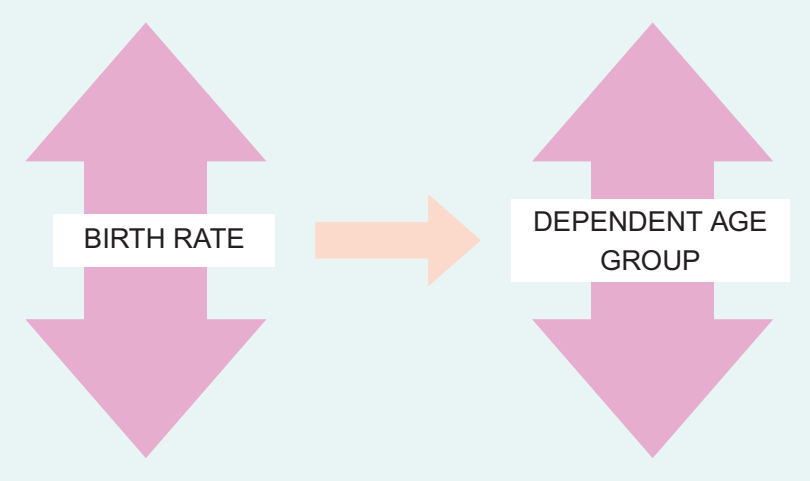


Figure 6.2.2: *Effects of birth rate on dependent age group*

Activity 6.8

Aisha is a student who is studying at grade 12 and lives in her island with her family. The total population of her island is 7500. In her island there are about 3000 people who are in the working age group. Of this, 2000 people actively participate in the workforce.

In one of her lesson, her economics teacher had shared Census information with the class and she realised that the estimated birth rate in her island is going to increase in the coming years.

a) Calculate the number of dependent people in Aisha's Island.

b) Calculate the dependency ratio.

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c) Interpret the dependency ratio.

d) What could have made Aisha to think that the population in her island would increase? Explain your suggestion with justifications. HOTS

Consequences of high dependent age group

A higher percentage of dependant age group increases the requirements of the government in terms of providing social benefits such as education, healthcare and retirement benefits. The increase in dependant age group also lays extra burden on the working age group. High dependent age group will have a high dependency ratio and is likely to have lower living standards. The changes in dependency ration are also reflected in the consumption behaviour of the people. Likewise, an increased dependency ratio is likely to have a change in consumption pattern and lead towards more consumer goods being produced compared to capital goods. This may decrease investment and economic growth, resulting in fewer job creation opportunities.

Dependency ratio and living standards: The dependency ratio may increase either due to an increase in young people or due to an increase in old aged people. Any increase on the dependent age group suggests that there will be an increased burden on the working population, which might result in a decreased standard of living due to lowered disposable income. In Maldives, individuals are entitled to an elderly pension when they are at the age of 65 and above. This pension known as 'basic pension' is paid to all individuals of age 65 and above regardless of his or her contribution to the working population. This state funded pension scheme is a lifelong pension program which is provided as a security net for the elderly.

Activity 6.9

With reference to the scenario given in Activity 6.8,

a) Define dependent age group.

b) Explain the consequences of an increase in birth rate in Aisha's Island.

c) Discuss any effects this will have on the living standard of Aisha's Island.

d) Compare the effect of high dependent ratio on the economy.

Working age group

Working age group consists of all those people who are above school leaving age and below the retirement age of a country. Working age group has greater importance because the younger age group, the retired people and the unemployed people depend on them for survival. If the working age group is high, it can be expected that there would be an

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increase in the standard of living. However, the standard of living would depend on many factors such as the disposable income of an individual. In the Maldives, the working age group is considered to be between the age of 15 and 64. The official retirement age is set at 65 years in the Maldives and the age group 18 and below are considered as children. The working population consists of people who are employed (either employees or self-employed person) and who are seeking employment and those outside of the labour force.

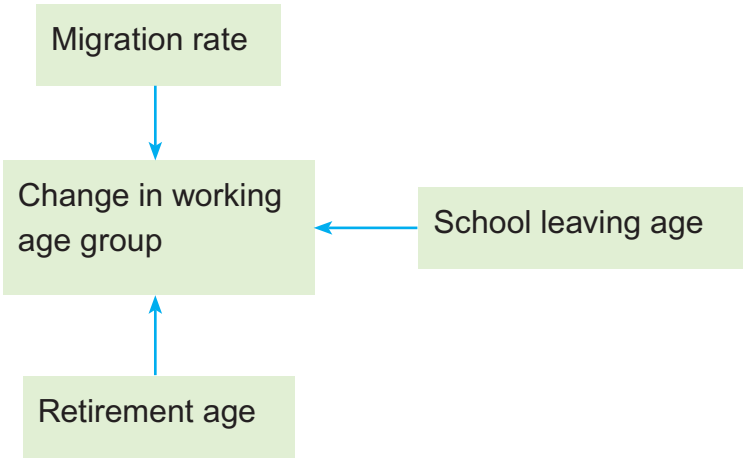


Figure 6.2.3: *Changing working population*

Consequences of increase in working age group

Increase in working age group is expected to have a positive impact on the economy due to the increase in national output resulting from a larger work force. However, there will be a need to create more jobs for the youth. In addition an increase in working age group will also lower the dependency ratio with more people enjoying higher living standards depending on the availability of jobs with reasonable pay. Government revenue from direct and indirect taxes will increase. More goods and services will be produced and the country is likely to enjoy high economic growth.

Activity 6.10

The retirement age of Country X has been changed from 65 years to 70 years.

a) Describe what will happen to the working age group of Country X.

b) Discuss the impact of the change in retirement age of Country X on its economy.

c) Analyse any effects that may have on the production of goods and services of Country X due to the change in retirement age.

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Ageing population

A country is said to have an ageing population when there are more people in the old age group compared to other ages groups of the population. A decline in both birth rate and death rate will lead to an increase in the ageing population.



Figure 6.2.4: *Aged population*

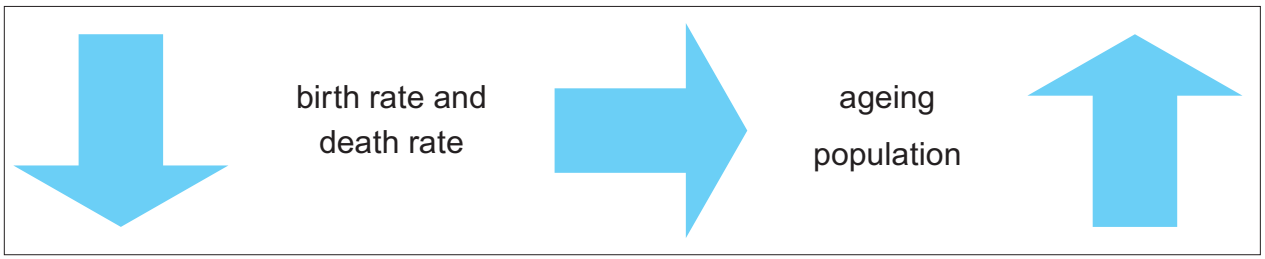


Figure 6.2.5: *Effects of birth rate and death rate on ageing population*

Consequences of high ageing group

A country with more ageing population would need to provide them with more medical assistance and social security benefits. It also requires more resources to be allocated in order to provide the ageing population with specialty goods and services. Further, in a world with technological advancement, the ageing population may find it difficult to adjust to new technological developments.

Activity 6.11

The population structure of country X is affected by low birth rate for the past three generations.

a) What is the issue faced by Country X?

b) What are the consequences of this issue?

c) Analyse the effects that may have on the production of goods and services in Country X due to low birth rate.

A Population Pyramid is a graphical representation of the age and sex distribution of a country's population in a given period. It is a horizontally drawn bar chart which shows a detailed breakdown of the population of different age groups with gender comparison. The population pyramids of developed and developing countries are different in their shapes. A population pyramid of a developing country reflects high birth rate and high death rate. Conversely, a developed country shows low birth rate and death rate.

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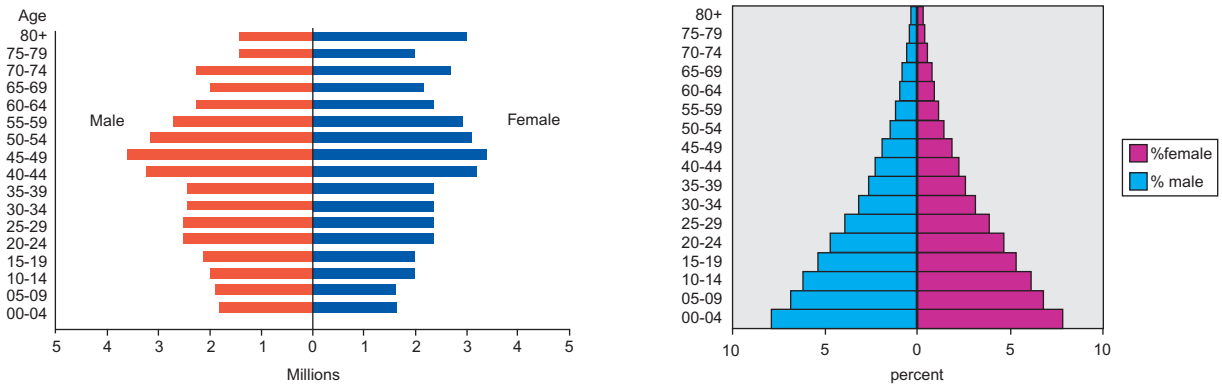


Figure 6.2.6: *Population pyramid of a developing country (left) and developed country (right)*

Activity 6.12

a) Define population pyramid.

b) Draw a population pyramid of a developing country and a developed country.

c) Compare the difference between the population pyramids of a developing and developed country. HOTS

Population density is the total number of people living per unit of area. Population density is commonly measured per square kilometer or square mile. When calculating population density, the population is based on the de facto definition of population, which counts all residents regardless of legal status or citizenship. Refugees who are not permanently settled in the country are excluded. Land area includes country's total area excluding inland water bodies such as rivers and lakes.

$$\textbf{Population density} = \frac{\textit{Total number of people}}{\textit{Number of square kilometers}}$$

Example: According to census 2014, total resident population of Maldives is 402,071. The land area is 298 square kilometers. Find the population density of Maldives.

Solution:

$$\text{Population density} = \frac{\textit{Total number of people}}{\textit{Number of square kilometers}}$$

$$= \frac{402071}{298}$$

$$= 1349.23$$

$$= 1350 \text{ people per square kilometer}$$

According to census 2014, Male' city is the most densely populated area in the Maldives

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with a population of 153,904 living in an area of 1.97 square kilometers. The main reason for the high density could be considered as the high migration of population to Male' city for the convenience of better health care, education and job opportunities.



Figure 6.2.7: *Male' city is the most densely populated island in the Maldives*

Table 6.2.1: Population density of SAARC countries 2011–2014

Country	2011	2012	2013	2014
Afghanistan	44	46	47	48
Bangladesh	1,179	1,193	1,207	1,222
Bhutan	19	20	20	20
India	420	425	430	436
Maldives	1,257	1,283	1,310	1,337
Nepal	190	192	194	197
Pakistan	225	230	235	240
Sri Lanka	333	326	328	331

Source: http://data.worldbank.org/indicator/

Population density is independent of economic development. For example, both Bangladesh and Japan are very densely populated, but Bangladesh is considered as a least economically developed country while Japan is among the most economically developed countries.

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6.3 Developing and Developed Economies

You will learn

- Developing and developed countries
- Characteristics of developing and developed countries

According to United Nations Department of Economic Affairs, the world population has exceeded 7 billion as of 2015. Of these people, the majority live in what is described as developing countries with some living in extreme poverty. The World Bank stated, in the year 2013, 12.7 percent of world's population lived below a daily income of US Dollar 1.90. One of the international development goals identified by the member countries in the 2000 millennium summit is to eradicate extreme poverty and hunger and to reduce the 1990 poverty rate in half by 2015. According to the World Bank, this target has been achieved five years ahead of the schedule. However, progress seen is uneven although poverty rates have declined in all regions.

A developing country is a non-industrialised country with limited resources seeking to develop its resources through industrialisation. Developing countries tend to have lower Gross Domestic Product (GDP) and lower per capita income resulting in lower standards of living. Although resources may be available, those resources in these countries are underutilised or controlled by foreign companies. The lower income results in slow industrial growth with less capital formation. Examples of developing countries are Maldives, India and Pakistan.

A developed country is a country where people have a higher income rate and is heavily industrialised with lots of industrial activities. The high GDP and per capita income results in increased disposable income leading to better standards of living. Better utilisation of resources help administrative authorities in providing better healthcare services and benefits increasing the life expectancy and living standards of its people. Examples of some developed countries are United States of America, Australia, Japan and the United Kingdom.

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Activity 6.13

Given below are the economic and demographic information about two countries. Read the information carefully and answer the given questions.

Republic of Iceland is located between North Atlantic and the Arctic Ocean with a land area of 103,000 square kilometers. According to statistics, the country's population was 329,100 as of 2015, and had a low growth rate, birth rate, death and net migration rate with a life expectancy of 82 years. The country has an estimated Gross Domestic Product (GDP) of US Dollars 17 billion and GDP per capita of US Dollars 52,967.

Lesotho is a small, mountainous, country completely landlocked by South Africa with a land area of 30,355 square kilometers. As per statistics of 2014, the country is estimated to have a population of 1,942,008. Due to AIDS and other communicable diseases the country has a life expectancy of 52.65 years with high infant mortality, high death rates and low population growth rates. For the year 2015, GDP of Lesotho was US Dollars 2.03 billion and GDP per capita of US Dollars 1,051.61.

a) Determine the developed and developing country?

b) Which country is better performing?

c) Evaluate the economic and demographic data of these two countries. Write your findings in 100-150 words.

Key Terms

Birth rate: also known as the crude birth rate is the total number of live births per 1,000 of a population in a year.

Census: official counting of total number of people in a region or country.

Death rate: also known as the crude death rate the number of deaths per 1000, of population in a year.

Demography: Study of human population.

Developed country: is a country that has a highly developed economy and advanced technological infrastructure relative to other less industrialised nations.

Developing country: is a country where there is low economic growth and low living standards.

Emigration: movement of people out of a country.

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Immigration: movement of people into a country.

Infant mortality rate: the number of deaths per one thousands of live births in a given geographical area for a given period of time.

Labour force: those who are employed and those who are seeking employment.

Life expectancy: the average number of years a person is expected to live.

Migration: movement of people from one place to another for settlement purposes.

Net migration: difference between the number of people coming into a country (immigrants) and the number of people leaving a country (emigrants) over a particular period of time.

Population: total number of people living in a particular area or country during a given period of time.

Population pyramid: Graphical representation of the age and sex distribution of a country's population during a given period.

Total fertility rate: is the average number of children that would be born to a woman over her lifetime.

Working age group: all those people who are above school leaving age and below the retirement age of a country.

I Learnt

In this chapter you have learnt local statistics regarding demographic indicators. Use the data from census 2014, about population and migration, to prepare a report of 100 words.

Key competencies



Practising Islam: Regardless of the burden on the economy from the dependent age group, Islam encourages on taking care of young ones and the elderly and to treat them with love and kindness. In one hadith, the Prophet (peace and blessings be upon him) disavows those who do not venerate the elderly and considers them alien to the Muslim society: *"He is not one of us who does not show mercy to our young ones and esteem to our elderly."* (At-Tirmidhi and Ahmad).

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Relating to people: Although people living in developing and developed countries have their differences, students understand that we as humans are equal and treat every individual equally irrespective of their status, caste or ethnicity.



Thinking critically and creatively: Through the learning of demography, population distribution and status of countries, students are able to seek information of what is happening around them while relating it to their environment in different perspectives.



Living a healthy life: Through learning of death rate, birth rate and population density, students become aware of the causes of these indicators and enable them to take appropriate measures for a healthy living to avoid future disappointments.



Using technology and the media: Through various reports published by organisations, students understand the changing environment around them in relation to changes in world population and relate the same to their domestic environment by analysing the available data.



Understanding and managing self: Each individual has a responsibility towards the development of the economy. Students understand that their behaviour towards building healthy families has a part in the economic development of the country.

Self-Assessment

Topic	I have understood	I need help
Definition of household population, population and census		
Factors which effect population growth		
Factors which influence birth rate and death rate		
Migration, immigration and emigration		
Factors influencing migration		
Natural rate of increase in population		
Age distribution of population		
Difference between working age and working population		

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Calculation of dependency ratio		
Causes of change in dependent age group, working age group and ageing population		
Importance of productive age group in an economy		
Population pyramid		
Population density		
Difference between developed and developing countries		

Review Questions

1. Complete the missing words.
   a) The …… rate of growth of a population is obtained by subtracting the …… rate from the …… rate.
   b) Developing countries tend to have low rate of …… due to low income but …… rates of population growth.
   c) The birth rate of a country is likely to be low if a …… proportion of women go to university, a …….. of women work and it is …… to bring up children.
   d) Net immigration will tend to …… the labour force of a country and reduce the …… ratio as most immigrants are of working age.
2. For questions (a) to (d) choose the correct answer.
   a) What is meant by the birth rate?
      i) The number of births compared to number of infants deaths
      ii) The number of children each women has on average each year
      iii) The number of births per 1000 population
      iv) The number of children women are expected to have each year
   b) What is meant by the death rate?
      i) Number of deaths compared to number of births
      ii) Number of registered deaths per thousand population

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iii) Number of deaths in working age group

iv) Number of deaths of infants compared to total number of deaths

c) In country X, there are more boys born than girls, however there are more women than men in the population. How can this be explained?

i) A lower death rate of men

ii) More women emigrating than men

iii) Women living longer than men

iv) Infant mortality is high

d) What is meant by sex distribution of a population?

i) Proportion of working age group people

ii) The proportion of females and males in the population

iii) Number of retired people

iv) Proportion of working age females and males in the population

3. Answer the following questions.

a) Define household population, population and census. Explain these terms.

b) What are the factors affecting population?

c) Define birth rate and state four factors which affect birth rate.

d) Explain four factors which affect birth rate.

e) Define death rate and state three factors which affect death rate.

f) Explain three factors which affect death rate.

g) What is migration? Discuss the effects of migration on population.

h) Explain the reasons for migration.

i) What is the natural growth rate of population?

j) Explain age distribution of population.

k) What is dependent age group and its effects on a country's economy?

l) What is working age group and its effects on a country's economy?

m) What is dependency ratio and explain the effects of high dependency ratio in a country.

n) Discuss the effects of ageing population on a country's economy.

o) Compare the population pyramid of developing and developed countries.

p) What are the main characteristics of developing and developed countries?

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